

1.0 LEARNING OUTCOMES

After completion of this unit you will be able to understand:

- Understand the core ideas of strategic management, such as goals, mission, and vision.
- Gain proficiency in utilizing SWOT, PESTEL, and Porter's Five Forces to assess both internal and external environments.
- Discover how strategies are developed at the corporate, company, and functional levels.
- Recognize the crucial phases in strategy implementation, such as organizational change and resource allocation.
- Learn how to use strategic thinking in a variety of corporate scenarios and gain insights into decision-making processes.
- Learn how to identify and sustain competitive advantages through strategic initiatives.
- Understand methods to evaluate and control strategic performance using key performance indicators (KPIs) and balanced scorecards.
- Understand that strategy must be flexible in order to react to shifting market conditions and new trends.

1.1 INTRODUCTION TO STRATEGY

It's crucial for knowing the meaning of strategy in order to comprehend company operations. After all, the success of any business depends on its plan. The Greek word "Strategos," which means "the art of the General," is where the word "strategy" originates. But in business, the art of war is less important than the managerial reaction to shifts in the corporate environment. We'll quickly review the definition and many kinds of company strategies in this article.

1.2 MEANING OF STRATEGY

The word "Strategos" was employed in military science in ancient Greece to refer to a strategy for winning a conflict. Strategies in business, however, are more about comprehending the competition and creating a plan to equal or exceed their potential. It is described as:

“Strategy is the direction and scope of an organization over the long-term. It helps achieve an advantage for the organization through its configuration of resources within a challenging environment, to meet the needs of markets and fulfil stakeholder expectations.”

The Greek words stratus, which means army, and ago, which means leading or moving, are the roots of the English word "strategy."

The actions managers take to accomplish organizational goals are referred to as strategies. Another way to define strategy is as "a broad direction set for the organization and all of its components to achieve a desired condition in the future." Strategy is created by the thorough strategic thinking exercise. In order to achieve present goals, a strategy focuses on integrating organizational processes and allocating and using limited resources within the organizational context.

It is crucial to keep in mind when formulating a strategy that decisions are not made in a vacuum and that any action taken by a business is likely to cause a reaction from those

impacted, including rivals, clients, staff, or suppliers. Another way to define strategy is as an awareness of the objectives, the unpredictability of events, and the need to assess the probable or actual actions of others. A business's strategy describes its goals, rules, and plans for achieving them. It also outlines the company's objectives, both human and economic, as well as its planned contributions to society, shareholders, and consumers.

1.3 LEVELS OF STRATEGY

Every choice that must be taken inside a business is based on strategy. Employee performance in almost every department of the company is significantly impacted if the strategy is badly developed and selected by upper management. In our previous article on 'What is Strategy?!' we have already tried to define and explain what business strategy refers to and what is NOT considered to be part of strategy. In this article, we will dissect strategy in three different components or 'Levels of Strategy'. These three levels are: Corporate-level strategy, Business-level strategy and Functional-level strategy. Together, these three levels of strategy can be illustrated in a so called 'Strategy Pyramid'. Corporate strategy is different from Business strategy and Functional strategy. Even though Corporate-level strategy is at the top of the pyramid, we start this article by explaining Business-level strategy first.

1.3.1 Corporate-Level Strategy

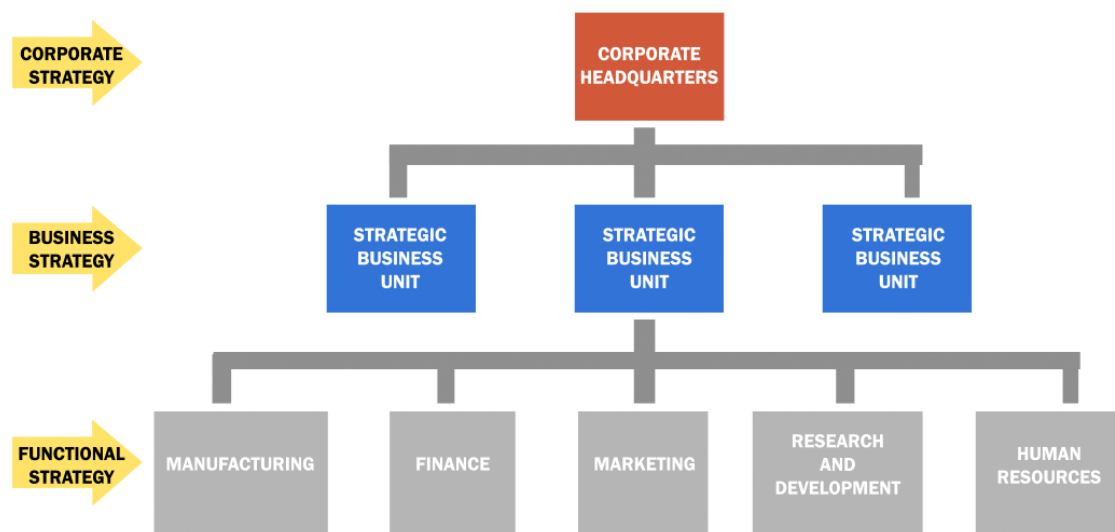
At the corporate level strategy however, management must not only consider how to gain a competitive advantage in each of the line of businesses the firm is operating in, but also which businesses they should be in in the first place. It is about selecting an optimal set of businesses and determining how they should be integrated into a corporate whole: a portfolio. Typically, major investment and divestment decisions are made at this level by top management. Mergers and Acquisitions (M&A) is also an important part of corporate strategy. This level of strategy is only necessary when the company operates in two or more business areas through different business units with different business-level strategies that need to be aligned to form an internally consistent corporate-level strategy. That is why corporate strategy is often not seen in small-medium enterprises (SME's), but in multinational enterprises (MNE's) or conglomerates.

1.3.2 Business-Level Strategy

The Business-level strategy is what most people are familiar with and is about the question "How do we compete?", "How do we gain (a sustainable) competitive advantage over rivals?". In order to answer these questions, it is important to first have a good understanding of a business and its external environment. At this level, we can use internal analysis frameworks like the Value Chain Analysis and the VRIO Model and external analysis frameworks like Porter's Five Forces and PESTEL Analysis. When good strategic analysis has been done, top management can move on to strategy formulation by using frameworks as the Value Disciplines, Blue Ocean Strategy and Porter's Generic Strategies. In the end, the business-level strategy is aimed at gaining a competitive advantage by offering true value for customers while being a unique and hard-to-imitate player within the competitive landscape.

1.3.3 Functional-Level Strategy

Functional-level strategy is concerned with the question “How do we support the business-level strategy within functional departments, such as Marketing, HR, Production and R&D?”. These strategies are often aimed at improving the effectiveness of a company’s operations within departments. Within these department, workers often refer to their ‘Marketing Strategy’, ‘Human Resource Strategy’ or ‘R&D Strategy’. The goal is to align these strategies as much as possible with the greater business strategy. If the business strategy is for example aimed at offering products to students and young adults, the marketing department should target these people as accurately as possible through their marketing campaigns by choosing the right (social) media channels. Technically, these decisions are very operational in nature and are therefore NOT part of strategy. As a consequence, it is better to call them tactics instead of strategies.



1.4 APPROACHES TO STRATEGIC DECISION MAKING

Strategic decision making is the core of strategic management.

Therefore, it is desirable to understand the nature of strategic decision making. Strategic decision is a major choice of an action concerning committing of resources with a view to achieve organizational objectives.

Strategic decision-making process is so strategic that each firm has its own approaches to this strategic decision-making. Good many alternative approaches have come into practice because each firm is unique or strategic.

The differences mainly arise due to, the extent of formalisation of decision-making process, move from formalised and structured to informal and unstructured, process, managerial power relationship-from the dominant role of the strategist to dilution of different interest groups; nature of management-ranging from highly complex and variable to simple and stable; the philosophy of management-ranging from highly traditional to sophisticated ultra-modern thinking and application.

Strategic decision-making process is complex and intriguing. Various researchers and authors have studied and described the manner in which such decision-making takes place. These different approaches have also been categorised by a few authors.

The following are the most common approaches:

Approach 1. Rational-Analytical Approach:

Rational-analytical approach assumes that the decision maker is a ‘unique actor who behaves intelligently and rationally’. He is fully aware of all available feasible alternatives and considers all the alternatives as well as the consequences and chooses the alternative that secures the maximum gain.

Most managers like to think of themselves as rational decision-makers. And indeed, many experts argue that managers should try to be as rational as possible in making decisions. It rests on the assumption that managers are logical and rational and they make decisions that are in the best interests of the organization.

This approach follows the process as:

- (a) Decision makers have complete information about the decision situation and possible alternatives.
- (b) They can effectively eliminate uncertainty to achieve a decision condition of certainty.
- (c) They evaluate all aspects of the decision situation logically and rationally.

This approach helps keep the decision maker focused on facts and logic and help guard against inappropriate assumptions and pitfalls.

Though this approach prescribes a rational, conscious, systematic, and analytical way, yet decisions are often made with little consideration for logic and rationality. Kepner-Tregoe, a Princeton-based consulting firm, estimates that American company use rational decision-making techniques less than 20 percent of the time.

Approach 2. Intuitive-Emotional Approach:

Intuition is an innate belief about something without conscious consideration. Intuitive-emotional approach is opposed to rational decision-making. Managers sometimes decide to do something because it feels “right”.

This feeling is not arbitrary but based on habit or experience, gut feeling, reflective thinking, and instinct, using the unconscious mental processes. An inner sense or emotion may help managers make an occasional decision without going through a full-blown rational-sequence of steps. Intuitive decision maker considers a number of alternatives and options.

Proponents of this approach point out that, in many cases, judgment may lead to “better” decisions than “optimizing” techniques. In fact, the timing of when to implement a decision based on the analysis may require an intuitive feel for what the data are telling you.

In many cases, judgment might be preferable to relying on the analysis. Of course, all managers but most especially inexperienced, should be careful not to rely too heavily on intuition.

Approach 3. Political-Behavioural Approach:

This approach suggests that real decision makers must consider a variety of pressures from other people who are affected by their decisions. An organization interacts with different stakeholders in interdependent exchange relationships. A stakeholder is any group or individual who can affect or is affected by the achievement of an organization's purpose.

Unions exchange labour for decent wages and job security. Customers exchange money for products and services. Owners exchange capital for expressed returns on investment. Suppliers exchange inputs for money and on-going business. Governments exchange protection and economic security for taxes.

Even competitors exchange information with one another through trade associations or other contacts. Each stakeholder gives the organization something and expects something in return. To the extent an organization has a favourable exchange relationship compared with other organizations and stakeholders, it has more power.

More powerful stakeholders have more influence over decisions because the organization is more dependent on these stakeholders. A majority stakeholder can have a greater influence on decisions about reinvestment than if stock is widely held by many small owners.

In a labour-intensive firm, more attention may be paid to union leaders' demands for better wages than, to the desires of stockholders for more profit, because the union might shut the firm down.

Decisions are made when the coalitions involved in the process agree to find a solution by mutual adjustment and negotiation in the way decisions have been made in the past. The decision maker must consider the political implementation of the decision outcome.

Approach 4. Administrative Approach:

Herbert A Simon was one of the first person to recognize that decisions are not always made with rationality and logic. His administrative model holds that manager- (i) have incomplete and imperfect information, (ii) are constrained by bounded rationality, and (iii) tried to satisfice when making decision.

Bounded rationality suggests that their values and unconscious reflexes, skills limit decision makers, and habits; by less-than complete information and knowledge. Essentially, then the concept of bounded rationality suggests that although people try to be rational decision makers, their rationality has limits.

"Satisficing" suggests that rather than conducting an exhaustive search for the best possible alternative, decision makers tend to search only until they identify an alternative that meets some minimum standard of sufficiency. A manager looking for a site for a new plant, for

example, may select the first site he finds that meets basic requirements for transportation, utilities, and price, even though further search might yield a better location.

People may satisfice for a variety of reasons. Managers may simply be unwilling to ignore their own motives and therefore may not be able to continue searching after a minimally acceptable alternative is identified. The decision maker may be unable to weigh and evaluate large number of alternatives and criteria. Also, subjective and personal considerations often interfere with decision situations.

Because of the inherent imperfection of information, bounded rationality, and satisficing, the decisions made by a manager may or may not actually be in the best interests of the organization.

Approach 5. Entrepreneurial Approach:

As the caption suggests, this approach is followed in strategic decision-making by the organisations headed by family heads where by the organisation is moulded to- face the environmental changes. In the Indian context the business groups such as Reliance, Jyoti Udyog, Nirma, Kothari Products, Mafatlal Group, Dabur Products, T.T.K. Group, and Infosys Technologies are examples.

Features of Entrepreneurial Approach:

Entrepreneurial approach to strategic decision making has its own features.

These are:

- i. Capitalising on the Opportunities
- ii. Growth and Expansion Orientation
- iii. Centralized Decision-Making Power
- iv. Efforts and Rewards are Well Balanced

Approach 6. Adaptive Approach:

This adaptive approach is reactive rather than proactive and tries to collect and mix the variant factors influencing the strategic decisions. It touches the very root of changing context of decision-making. This approach is very common in case of public sector enterprises where decision-making power is divided amongst different constituents.

It is a matter of governing and managing these enterprises where the objectives are social service orientation hinged by profit making. That is, though the aim is to meet the social needs the government enterprises not barred from making profit.

Features of Adaptive Approach:

The adaptive approach has its own features distinct from others. These are:

I. It is an Exercise of Problem-Solving:

Such an approach is to solve the problem encountered which are more of survival and maintenance or continuation of existing situation rather hunting new opportunities and encashing on them.

II. Dominance of Decision-Making Process by Constituents:

These constituents we mean here the 'publics' that have stake in business. The decision-making process is shared by the owners, managers, government agencies, trade unions, financiers and the like. The decision reflects the interests of these stake-holders.

III. Priority Based Decisions:

This approach believes in solving one problem at a time. The most urgent problem gets the priority over others. The idea behind this is to attain and maintain highest degree of flexibility to adapt the decision to more pressing needs. Logic behind this is to use all the vigour and strength in solving effectively the most pressing problem so that they need not look back again.

Approach 7. Planning Approach:

This approach calls for making decisions in anticipation of the future state of affairs where the organisation is prepared to face it boldly. That is, strategic decisions are based on socio-economic purposes of the organisation, value of top management, external opportunities and problems on one hand and organisations strength and weaknesses on the other.

It is widely used by multi-nationals which have formalised and structured strategic decision-making process.

Features of Planning Approach:

Planning is clothed with the future and moulding organisation ready to tackle the future problems and uncertainties that are likely to be encountered by the firm.

i. Analysis of Factors Influencing a Strategy:

The process of strategy making is founded on analysis of various factors that influence the strategy. These factors are both external and internal. External factors are economic, technological, socio-cultural, political, and ecological and the internal are related with firm's strengths and weaknesses.

ii. Systematic and Structured Approach:

Planning approach to strategic decision making involves systematic and structured approach to the solution of problems. It is more a task of assessing the cost benefit pay-offs of the possible alternatives. It is a systems approach in that the structure of organisation and its parts are geared to make possible the payoffs in terms of costs and benefits.

iii. It is a Comprehensive Process:

It is comprehensive process in that it is capable of producing a set of integrated decisions and strategies. That is, all the decisions and strategies that are inter-departmental and inter level of the organisation are supporting one another rather than supplanting.

Thus, the goal of profit maximisation or wealth maximisation is having the organisational level support and the inter-departmental and inter-sections support where each is limited, balanced and integrated. It is a coordinative approach.

Approach 8. Entrepreneurial – Opportunistic:

Entrepreneurial-opportunistic (or simply entrepreneurial) approach is adopted, generally, by heads of family-managed organizations and is characterized by pushing an organization ahead in the face of environmental odds.

The basic features of strategy making under this approach are as follows:

- i. The focus in this approach is on capitalizing the opportunities rather than problem solving. There is constant search of opportunities in the environment either formally or otherwise.
- ii. Decision power is centralized in the entrepreneur who is capable of making bold and unusual decisions.
- iii. The bold and unusual decisions made in the face of environmental uncertainty, lead the organization to move forward by unusual leaps and thrive with corresponding gains.
- iv. The most important objective in this approach is growth and expansion in assets, turnover, and market share.

Thus, decision making becomes emergent process as against formal process. Entrepreneurial approach is suitable in those organizations where key strategists have very high stake in the outcomes of a strategy. They are in a position to lead the organization from front sidelining the views of other stakeholders. Usually, such strategists have very high level of aspirations, high level of vision about the future business scenarios, and have high-risk bearing profile.

Approach 9. Combination of Different Approaches:

We have seen above that various approaches of strategic decision making have their positive and negative aspects and each of these is suitable for particular type of organizations and the nature of environment. Since there are many variables which affect strategic decision making, many organizations follow a combination of different approaches. The experts on strategic management also hold this view.

For example, Sumantra Ghoshal, Professor of Strategic Leadership, comments that “it may be useful for Reliance (following entrepreneurial approach) to think whether it should follow a bit of Hindustan Unilever’s structured processes, just as much as it may be productive for

Hindustan Unilever to consider ways of broadening its systems and culture to the entrepreneurial approach.”

1.5 VISION & MISSION STATEMENT

Management of companies is essential for the systematic growth and development of the company. The management strategies are formulated on the basis of company mission and vision. In line with them, the goals and objectives are set for the company. The vision and mission statements play a significant role in the development of strategies by providing a basis for screening the strategic options. Thus, understanding the concept of mission, vision, goals, objectives and related concepts is essential for implementing successful strategic management.

1.5.1 Vision

A vision articulates the position that an organization would like to attain in the distant future. It helps in creating a common identity and a shared sense of purpose. A good vision is one which fosters risk taking and experimentation. It answers the question: ‘What will success look like?’ The vision of an organization must possess the following characteristics:

- It is created by consensus.
- It forms a company’s future mental image.
- It forms the basis for formulating the mission statement.

A good vision possesses the following features:

- It should be inspiring.
- It should foster long term thinking.
- It should be original and unique.
- It should be competitive.
- It should be realistic.

Examples: Company Vision Walt Disney Make people happy Stokes Eye Clinic Our vision is to take care of your vision Infosys To be a globally respected organization that provides best of breed business solutions, leveraging technology, delivered by best-in-class people.

1.5.2 Mission

Mission refers to the purpose of an organization. Mission states the business reason for the organization's existence. It relates the organization to the society. The mission of an organization should aim high and at the same time it must be realistic. It should provide a strategic direction for the organization. “Mission is the fundamental work given by the society to an organization”. **By Koontz & Q’ Donnell**

“The company mission is defined as the fundamental unique purpose that sets a business apart from other firms of its type & identifies the scope of its operations in product & market terms”. **By Pearce & Robinson**

A mission statement needs to have the following qualities in order to be successful:

- (i) A mission statement need to be achievable and realistic. People are not motivated by assertions that seem impossible.
- (ii) It shouldn't be overly wide or too specific. It will lose its meaning if it is very general. A more limited mission statement limits the organization's operations. The mission statement ought to be clear and concise.
- (iii) A mission statement must be clear and concise. Action requires clarity. Statements that are overly philosophical lack clarity.
- (iv) A clear mission statement is essential. It won't make any difference if it isn't distinct. Mission statements that have been copied leave no trace.
- (v) It should have a social connection. Linking the organization to society will strengthen its long-term perspective.
- (vi) It can't stay motionless. Adapting to a continuously changing environment requires consideration of dynamic aspects.
- (vii) It should motivate the community and group members. Employees may be motivated by the organization's mission statement.
- (viii) The steps necessary to accomplish objectives should be described in the mission statement. The clues required to do the task will be the motivation.

1.6 OBJECTIVE & GOAL

Objective and **goal** are often used interchangeably, but they serve different purposes in planning and achieving outcomes.

1.6.1 Objective

The outcomes of a planned action are called objectives. They are expressed in words that can be measured. At different management levels, objectives are expressed differently. Setting and achieving goals is crucial to improving an organization's efficacy and efficiency. Fairly worded objectives need to have the following qualities:

- They should have a time frame within which they are anticipated to be accomplished;
- They should be adaptable enough to easily incorporate changes if necessary;
- they should be clear and precise;
- They should be achievable;
- They should be measurable;
- They should be intelligible;
- They should contribute to the accomplishment of the organization's mission and vision; and

- They should be challenging. A variety of factors influence how objectives are formulated in an organization;
- These factors are taken into consideration before creating objectives and include the following:
 - Organizational size;
 - Management level;
 - Organization culture;
 - Social responsiveness

The milestones that a person plans to accomplish in a set amount of time are called objectives, and they are stated in precise language. There are many different kinds of objectives. A few of these are described as follows:

- The most crucial goal for any business venture is the profit target. An organization must define several goals in important outcome areas like market share, new product development, service quality, etc. in order to turn a profit. Another name for them might be performance objectives.
- The percentage gain or reduction in market share can be used to describe the marketing objective. They have something to do with a functional domain.
- The ratio of input to output can be used to define the productivity objective. The cost per unit of output is another way to express this goal.
- Product objectives might be stated in terms of branding, product diversification, product development, etc.

1.6.2 Goal

Objectives are intermediate outcomes that are anticipated to be accomplished within a specific time frame. It is a long-term goal that an organization hopes to accomplish. It offers the foundation for evaluating the organization's success. Objectives can be divided into two groups:

- Financial objectives: These have to do with revenue growth or return on investment.
- Strategic objectives: They centre on gaining an industry competitive edge.

Basis	Mission	Vision
Concept	It defines the purpose and primary objectives related to your customer needs and team values.	It communicates both – purpose and values of your business.
Answer	It answers the question: How you will get to where you want to be?	It answers the question: Where you want to be?
Purpose	The purpose is to inform what the organization does.	The purpose is to inspire people and motivate their emotional drives to achieve it.

Time frame	A mission statement talks about the present which ultimately leads to the future.	A vision statement talks about the future of the organization.
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Basis	Objectives	Goals
Concept	It represents managerial commitment to achieve specified results in a specified period of time.	It refers to the long-term purpose which an organization strives to achieve.
Measurement	It is easy to measure them as they are generally quantifiable.	It is difficult to measure them.
Time period	They are mid-term or short term in nature.	They are long term in nature.
Action	It refers to the specific action which supports the associated goal.	It refers to a generic action towards which one strives.

Vision: A vision statement outlines the long-term goals that an organization hopes to accomplish.

Mission: A mission statement is a formal statement of an organization's primary goals and objectives that often doesn't alter over time.

Objective: The final outcomes that the entire strategy is supposed to achieve within a given time frame are referred to as objectives.

Goal: A company's goals encompass a wide range of both financial and non-financial concerns.

1.7 STRATEGIC BUSINESS UNIT

Strategic business units (SBUs) are distinct divisions of a parent company that provide a variety of product lines and services and operate in several market sectors and industries. SBUs are established within companies that often have sizable global operations offering a variety of products and services. A strategic business unit functions on three levels: the parent firm or headquarters is always at the top, and the SBUs in the middle and lower tiers are grouped in accordance with that. An SBU is expected to periodically report to the parent firm on the performance, outcomes, expansion, and income of its operations. Because it divides the product lines of a shared parent firm, a strategic business unit plan is crucial in this situation.

This increases market valuation compared to a firm without business units because each SBU is recognized separately. The SBU assists with market analysis, research and development, pricing, and building market recognition and awareness when a business chooses to introduce a new product in a different market.

Major decisions and the cash flow investment required may be approved at the highest level. In addition, every SBU is allowed to operate in the market with its own rivals, deals, business plans, goals, and mission. There are difficulties at every level of a strategic business unit. Setting up a successful SBU with long-term survival and growth possibilities is a difficult procedure for any business.

1.7.1 Characteristics

A strategic business unit is characterized by the following:

- It is intended to target a particular client base that is active in the market; and Because these business units are independently regulated and operational, they have competitors in the market.
- Customers may or may not recognize the parent company of an SBU as a distinct entity;
- The SBUs have a manager in charge of all unit planning, profitability, and performance; and the majority of the SBUs have their shares listed on the stock exchange, apart from their parent companies.
- A business may create numerous SBUs, each with its unique strategy. They must also inform the parent firm of the overall performance.

1.7.2 Types

There are four types of strategic business units –

a) **Star**

Star SBUs are business units that achieve significant growth and market share within their specific industry. Units holding a monopoly over a market or significant industry giants are known as star SBUs. In order to maintain the strategic business unit structure, they require a significant financial commitment and steady cash flow.

b) **Cash Cows**

An SBU that dominates the market, makes the most money for the company, and grows slowly is known as a cash cow. One kind of SBU can occasionally evolve into another. Therefore, the star SBU turns into a cash cow if a high-growth market slows down.

c) **Question Marks**

When a fundamental query comes up regarding such SBUs that are strong growth yet operating with low shares, market professionals label certain units as question marks. These businesses require significant financial outlays that are taken away from cash cows. Therefore, businesses always require assistance in determining whether to delete or invest in such units.

d) **Dogs**

Dogs are the SBUs that companies have the least chance of expanding into in the future and will never be able to become a star SBU. With low market shares and slowing growth, they are underachievers. These company units just make enough money to stay in business and stay afloat. Consequently, corporations pay less attention to these units.

1.7.3 Advantages & Disadvantages of SBUs

Here are the main advantages and disadvantages of SBUs:

Advantages

- Since an SBU targets a distinct market segment and customer base directly, the profitability is more likely to rise.
- Establishing SBUs enables businesses to endure and thrive in the marketplace for an extended period of time.
- It makes bookkeeping easier for large companies.
- Because each unit functions autonomously and not all permissions are sent to the central authority, decision-making is made easier.
- Provides in-depth research and development for specific markets.

Disadvantages

- The process of setting up SBUs is complicated because each one needs its own vision, goals, messaging, promotion, and other elements.
- When it comes to SBUs, intense competition can occasionally work against the parent firm.
- Establishing key business divisions is a costly procedure that raises a company's overall operating costs for personnel, hiring, office setting, and a full hierarchy.
- Due to head offices and divisional workplaces, the majority of firms with SBUs require increased communication.
- Because there are various kinds of SBUs, unfounded rivalry between SBUs of the same parent firm is produced by pointless comparisons and shady politics.

1.8 ENVIRONMENTAL ANALYSIS

Environmental analysis is a strategic tool used to identify external factors that can impact an organization or industry. It involves assessing both macro and micro-environmental elements, including political, economic, social, technological, environmental, and legal (PESTEL) factors. By examining these external forces, businesses can anticipate changes, adapt strategies, and maintain competitiveness in their market. Environmental analysis helps organizations understand the broader context in which they operate, uncover opportunities, and mitigate potential risks. It's a crucial step in strategic planning, ensuring that businesses remain resilient and proactive in an ever-evolving external environment.

1.8.1 Concept of Business Environment

In general, the term "environment" refers to the things, places, situations, and overall state that have an impact on the existence of someone or something. However, in the context of business, the term "environment" refers to the elements that influence how a business operates. It includes all of the internal and external factors that have an impact on how a firm operates. It covers the circumstances, factors, occurrences, and events that businesses must deal with. The successful operation of a business is largely dependent on how well it interacts with its surroundings. Only when an organization can adapt to the changing environment will it be able to thrive.

Definition:

Here are some definitions of business environment:

“Business Environment is the total of all things external to firms and individuals, which affect their organization and operations”. – *Wheeler*

“Environment factors of constraints are largely if not totally external and beyond the control of individual industrial enterprises and their arrangements. These are essentially the ‘givers’ within which firms and their managements must operate in a specific country and they vary, often greatly from country to country”. – *Barry M. Richman and Melvyn Copen*

“The environment includes outside the firm which can lead to opportunities for or threats to the firm. Although, there are many factors, the most important of the sectors are socio – economic, technical, supplier, competitors, and government”. – *Glueck and Jauch*

1.8.2 Components of Business Environment

The business environment in which an organization operates is further separated into two parts:

- A)** The internal environment, which is concerned with the elements that are thought to be under an organization's control.
- B)** The external environment, which refers to the uncontrollable elements outside of an organization.

A. INTERNAL ENVIRONMENT

An organization's internal environment is made up of a variety of components. These elements serve as an organization's strengths and can also contribute to its faults. The decisions and strategy of the organization are influenced by these internal forces. Among the interior elements of the internal environment are the following:

1. Values and Management Philosophy
2. The mission and goals
3. Nature and Structure of Management
4. The Relationship of Internal Power
5. Human Resources
6. Brand Equity and Company Image

B. EXTERNAL ENVIRONMENT

The term "external environment" refers to all of the elements that are not part of the company enterprise. Furthermore, the firm faces both possibilities and risks from the external environment. Economic, sociocultural, legal, demographic, and other issues are among them. The corporation has no influence over these circumstances.

The two sorts of environments that make up the external environment are the macro environment and the micro environment.

Micro Environment/ Operating Environment – Numerous elements that are present in the company's immediate surroundings and impact its performance are included in the micro environment. These can be discussed as –

- **Suppliers:** these are individuals that give the organization different inputs, such as labour, equipment, raw materials, etc.
- **Marketing Intermediaries:** These intermediaries assist a business in advertising, selling, and delivering its products to customers.
- **Competitors:** All companies that sell comparable goods in the market, as well as those businesses that the company must contend with for the consumers' discretionary income.
- **Customers:** Every business exists to serve the demands of its clients; therefore, monitoring client needs is essential to the success of the enterprise.
- **Publics:** Any group of people, such as the media or non-governmental organizations, that have a real or potential interest in or influence on an organization's capacity to fulfill its objectives.

The micro environment is also known as **task environment** and **operating environment**.

a) **Macro Environment/ General Environment** –

The Macro or general environment consists of factors in the general environment like –

- 1) **Demographic:** The study of the human population's size, density, literacy rate, sex ratio, age distribution, and other characteristics is known as demographic environment. Demography has an impact on a number of factors, including distribution, manufacturing quality and quantity, and demand for goods and services. For example, a population that is expanding quickly reflects the rising demand for a variety of goods.
- 2) **Economic:** A company enterprise has a close relationship with its economic surroundings. The external factors that directly affect company are typically associated with the economic environment. The economic environment is the culmination of the following: a. market circumstances; b. government economic policies; and c. the nation's economic system.
- 3) **Natural** – Water, land, iron, crude oil, and other natural resources are used by businesses. Every business unit depends on the natural environment, either directly or indirectly. Natural resources, weather and climate, topography, location in relation to the world, infrastructure, etc. are all examples of geographical and ecological elements that are important to business. Thus, companies are to blame for ecological imbalance. Therefore, they ought to take the required actions to reduce pollution. The nation's natural environment and ecological balance have changed significantly as a result of business operations. The rapid economic expansion brought about by the use of contemporary technology in industry comes at a great societal cost, as evidenced by the degradation of the physical environment, including noise, water, and air pollution. Therefore, businesses must determine the net social cost of its venture.
- 4) **Technological** – Theories and knowledge can be put into practice thanks to technology. Increased output, lower product costs, and improved product quality are all made feasible by technological breakthroughs. However, rapidly evolving technologies may also render factories and goods outdated more quickly, posing challenges for businesses. In order to stay

aflot in the fiercely competitive business environment, entrepreneurs must be vigilant and adaptable in order to swiftly integrate new technologies into their existing business structures.

5) Political – The economic system and policy are intimately linked to the political and governmental environment. The influence that the legislative, executive, and judicial branches of government have on the growth and regulation of commercial activity is known as the political environment. The changes in the political landscape have a big impact on business decisions. A change in leadership results in a shift in goals, preferences, and attitudes, among other things. Businesses must monitor all political developments, predict shifts in governmental regulations, and adjust their production and marketing plans appropriately.

6) Socio – Cultural – An essential environmental aspect that should be considered while developing business strategies is the socio-cultural fabric. Every society has its own culture. Knowledge, beliefs, art, morals, laws, conventions, and other skills and behaviours that a person acquires as a member of a society are all considered to be part of its culture. Generation every generation inherits cultural values. As a result, culture dictates what kinds of products and services a company should manufacture. Businesses cannot disregard a society's customs, values, taboos, tastes, and preferences in their pursuit of success. Customers' consumption and buying habits, as well as their values, traditions, tastes, and level of education, all affect the company. Businesses should therefore be aware of cultural variations and develop goods that reflect them.

7) Legal Environment / Regulatory Environment – Laws that define and defend the fundamental rights of people and organizations are part of the legal environment. It establishes a framework of laws and guidelines that corporate entities must follow. Businesses need to be fully informed on the rules that control the production and distribution of goods and services. The Indian Companies Act of 1956, the Consumer Protection Act of 1986, the MRTP Act of 1969, the Essential Commodities Act of 1955, and others are some of the significant laws.

1.9 ENVIRONMENT SCANNING AND APPRAISAL

Environmental Scanning is an overarching term encompassing monitoring, evaluation and dissemination of information relevant to organizational strategy development. It is about keeping an eye on the ever-changing landscape of the business world.

1.9.1 Strategic Importance of External Environment

The external environment is of immense strategic importance for organizations. It provides critical insights into market dynamics, customer preferences, and emerging trends, enabling businesses to adapt and thrive. Understanding competitors' moves and regulatory changes helps in crafting effective strategies. Moreover, it assists in risk assessment and mitigation by identifying potential threats.

By scanning the external environment, companies can seize opportunities, enhance competitiveness, and foster innovation. It's a compass guiding decision-making, resource

allocation, and long-term planning, ultimately ensuring an organization's resilience and relevance in a dynamic and ever-evolving business landscape. In essence, the external environment is the foundation for strategic success.

1.9.2 Strategic Importance of Internal Environment

The internal environment of an organization is strategically vital as it forms the core foundation for success. It encompasses the company's culture, structure, resources, and capabilities. A healthy internal environment fosters employee motivation, collaboration, and innovation, driving productivity and customer satisfaction. Efficient resource allocation and effective utilization of strengths and weaknesses are facilitated by a thorough understanding of the internal environment.

Additionally, it helps align organizational goals with available resources, enhancing overall efficiency and competitiveness. A strong internal environment is the backbone of a company's ability to achieve sustainable growth and strategic objectives.

1.9.3 Techniques of Environmental Scanning

Environmental scanning techniques include SWOT analyses, PESTEL Analyses, Competitor Analyses, Market Research and Scenario planning.

a) SWOT Analysis:

Strengths: Finding our strong points is the main goal here. Why do our clients choose us over others? It can be our unique products, excellent customer service, or solid reputation as a brand. To stay ahead, we must acknowledge and capitalize on these advantages.

Weaknesses: We're being candid about our potential shortcomings here. It can be a small selection of products or outmoded technology. By recognizing these areas, we can make adjustments and make sure we don't fall behind.

Opportunity: This is our opportunity to identify the market's best prospects. It may be a new trend that we can take advantage of or a gap that our rivals haven't discovered. We can take advantage of these chances to accelerate our development if we remain alert.

Threats: This refers to anticipating possible obstacles. A new competition entering the market or shifting consumer tastes could be the cause. We can plan to lessen their effects if we recognize these concerns early on.

b) PESTLE Analysis:

Political: Here, we're monitoring the political environment. Political stability, trade laws, and governmental policies can all have an impact on our company. To effectively navigate through any political waves, we must remain aware.

Economic: This entails keeping an eye on the state of the economy. Currency changes, economic growth, and inflation rates can all have an impact on our bottom line. We can make wise financial judgments if we keep an eye on economic developments.

Sociocultural: This has to do with comprehending cultural changes and societal tendencies. What are our target audience's evolving tastes and ways of living? We can arrange our offers to appeal to our clients by paying attention to these vibes.

Technological: We are searching for the newest technological developments. Technology has the power to revolutionize our lives by providing us with the means to innovate and optimize our processes. To take full use of the advantages, we must be tech-savvy.

Legal: This entails keeping up with developments in the law. Our operations may be impacted by new laws and regulations. We can guarantee compliance and steer clear of possible hazards by being legally astute.

Environmental: This relates to being environmentally sensitive. Sustainability and climate change are two environmental factors that are growing more and more significant. In order to be a conscientious and progressive brand, we must embrace green practices.

c) Competitor Analysis

To do this, we must closely monitor our rivals. Which tactics are they using? What are their advantages and disadvantages? By examining them, we can find ways to surpass our rivals and steer clear of their errors.

Market Research

Marketing research tool is used to understand customers better. With this, companies can gauge customer preferences and satisfaction through surveys, feedback, and trend analysis. This insight helps us to tailor our offerings and enhance the customer experience.

Scenario Planning

This involves planning for the future by imagining different situations. It functions similarly to a road plan for potential future directions. We can be prepared to adapt and prosper no matter what the future brings by making plans for many contingencies.

1.10 Organizational appraisal

The methodical assessment of a company's internal environment to identify its strengths and shortcomings that affect its capacity to accomplish its objectives is known as organizational appraisal. Organizational strengths allow a company to choose what it wants to do. For instance, businesses that excel in marketing should focus on marketing initiatives rather than manufacturing and production. An company can take a variety of steps to overcome its vulnerabilities by analyzing them. Strategic formulation of a corporation requires a thorough analysis of its strengths and weaknesses and a comparison with environmental opportunities and dangers. Generally speaking, an organization's strengths and weaknesses are assessed in relation to its surroundings; otherwise, it is exceedingly challenging to identify a firm's strengths and weaknesses. The following series of actions is used to explain the organizational appraisal process:

1) Key factors identification

The first step of organizational assessment identifies the different elements that might be assessed to ascertain the organization's strengths and weaknesses. The choice of important elements may have to do with production, marketing, finance, accounting, R&D, organizational structure, management style, etc. Every facet of the business should be covered by the essential elements.

2) Identification of importance of factors

Key components may not all be equally important; some may be more or less significant than others. The factors' relative relevance depends on the organization's and its surroundings' characteristics. Each factor's relative relevance is also determined by how it contributes to the accomplishment of specific important outcomes.

The relative relevance of the components can also be ascertained by comparing the key factors with the firm's crucial success factors. Here, the important success factors' criteria are compared with the significance of the key factors.

3) Assessing strengths and weaknesses on key factors

Assessing the organizational strengths and weaknesses in relation to these aspects is made easier by the strategic key factors. The organizational strength on a given factor is determined by the contributions that the factors make to the accomplishment of the organization's goals. The organizational weakness on that factor is determined by the factor's detrimental contributions to the accomplishment of the organization's goals. Comparing important strategic elements with those of rivals is another way to evaluate the organization's strengths and weaknesses.

Additionally, there are a number of methods that aid in determining the strengths and weaknesses of an organization, such as resource development matrix, functional area profile, financial analysis, and key factor rating.

4) Preparing the organizational capability profile

The strengths and weaknesses of the organization are used to create the organizational capability profile. This profile demonstrates the organization's strong points to a certain extent. Positive numbers can be used to indicate strength and negative numbers to indicate weakness if strength and weakness are measured quantitatively.

5) Relating organizational capability to strategy

Here, a number of calculated steps are taken to strengthen the organization's areas of strength and strengthen its areas of weakness. These tactics have the long-term effect of integrating the organization with its surroundings while taking into consideration its strategic advantages.

1.11 SUMMARY

- a. Management strategies based on a company's mission and vision, guide growth and decision-making.
 - Vision: Defines the long-term desired state, aiming to inspire and set direction.
 - Mission: States the organization's purpose and focus, providing clarity and direction.
 - Objectives: Specific, measurable targets with a set timeframe, aligned with the mission.
 - Goals: Broad, long-term outcomes categorized as financial or strategic.
- b. Strategic Decision-Making Approaches:
 1. Rational-Analytical: Logical and complete information-based.
 2. Intuitive-Emotional: Relies on gut feelings and experience.
 3. Political-Behavioural: Considers stakeholder influence.
 4. Administrative: Uses limited information and "satisficing."
 5. Entrepreneurial: Seizes opportunities and makes bold decisions.
 6. Adaptive: Reacts to immediate issues.
 7. Planning: Structured analysis for future readiness.
 8. Combination: Mixes approaches for diverse needs.
- c. Strategic Business Units (SBUs) are autonomous divisions within a larger company, each focused on different markets, industries, or product lines. These units help companies diversify their operations and sharpen their market focus, boosting overall competitiveness. SBUs are classified into four categories—Star, Cash Cow, Question Mark, and Dog—based on their market share and growth potential.
- d. Business environment is shaped by both internal (within the company's control) and external (beyond the company's control) factors. External factors include micro-level elements (e.g., suppliers, customers) and macro-level influences (e.g., political, economic, and socio-cultural trends). Environmental scanning techniques like SWOT and PESTLE assist companies in identifying opportunities and mitigating risks. Organizational appraisal focuses on analyzing internal strengths and weaknesses to guide strategic planning and decision-making.

1.12 KEY TERMS

1. **Corporate-level:** Decides which businesses to operate in and integrates them, focusing on major investments and mergers. Relevant for large, diversified companies.
2. **Business-level:** Focuses on competing in the market and gaining a competitive edge through analysis and strategic frameworks.

3. **Functional-level:** Supports the business strategy by improving operational effectiveness in departments like Marketing and HR, often considered as tactics rather than strategy.
4. **Rational-Analytical:** Assumes decision-makers are logical, analyzing all options to maximize outcomes. It's structured but often underutilized in practice.
5. **Intuitive-Emotional:** Relies on gut feelings and experience rather than analysis. Judgment-based decisions can sometimes outperform analytical ones, but caution is needed.
6. **Political-Behavioural:** Decisions are influenced by stakeholders like unions, customers, and owners. Power dynamics and negotiation play a key role.
7. **Vision:** Outlines the long-term future goals of the organization, aiming to inspire and guide. It should be inspiring, unique, and realistic.
8. **Mission:** States the organization's core purpose and role, providing strategic direction. It should be clear, achievable, and evolve as needed.
9. **Objectives:** Specific, measurable outcomes that support the mission and vision. They should be clear, time-bound, flexible, and challenging.
10. **Goals:** Broad, long-term targets, either financial or strategic, used to measure performance.
11. **Star:** High market share and growth, requires substantial investment.
12. **Cash Cows:** High market share with slow growth, generates stable revenue.
13. **Question Marks:** High growth but low market share, demands significant investment to grow.
14. **Dogs:** Low market share and growth, requires minimal investment and may be divested.

1.13 QUESTIONS & EXCERSISES

Short-Answer Questions:

1. What is strategy?
2. Name the levels at which strategy operate.
3. Define objectives and goals. How do they differ?
4. What is an organizational mission?
5. Give an example of a strategic goal.
6. What is a Strategic Business Unit (SBU)?
7. List two characteristics of a Strategic Business Unit (SBU).
8. How is a Strategic Business Unit (SBU) different from a division?
9. What is the concept of the environment in a business context?
10. Short-Type Questions:
11. What is organizational appraisal?
12. Name two techniques used for organizational appraisal.
13. What is the purpose of a SWOT analysis in organizational appraisal?

14. How does a PESTLE analysis assist in organizational appraisal?

Long-Answer Questions:

1. Define strategy and explain the different levels at which strategy operates.
2. Discuss the concept of strategy, highlighting its importance and detailing the various levels at which it is implemented within an organization.
3. Explain the different approaches to strategic decision-making with examples.
4. Discuss the various approaches to strategic decision-making, highlighting their characteristics and implications for organizational success.
5. Explain the relationship between mission, purpose, objectives, and goals in an organization.
6. Discuss how an organization's mission and purpose influence its objectives and goals, providing examples to illustrate your answer.
7. Compare and contrast objectives and goals with respect to their role in achieving an organization's mission.
8. Explain the concept of a Strategic Business Unit (SBU) and discuss its importance in corporate strategy?
9. Discuss the role of Strategic Business Units (SBUs) in large organizations, including how they contribute to overall strategic objectives.
10. What are the key features of a Strategic Business Unit (SBU), and how does it impact decision-making within a corporation?
11. Explain the concept of the business environment and describe its key components.
12. Discuss the significance of the business environment scanning and analyse the roles of its internal and external components.
13. Describe the external environment of a business and its impact on organizational strategy.
14. Explain the concept of organizational appraisal and discuss its importance in strategic planning.
15. Discuss the various techniques used for organizational appraisal, such as SWOT, PESTLE, and value chain analysis, and their relevance in evaluating an organization's strengths and weaknesses.
16. Compare and contrast different techniques of organizational appraisal, like SWOT, PESTLE, and benchmarking, and explain how they contribute to a comprehensive understanding of an organization's internal and external environment.

1.14 FURTHER READING

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UNIT- II CORPORATE STRATEGY

Structure

2.0 LEARNING OUTCOMES

2.1 INTRODUCTION

2.2 MEANING OF CORPORATE STRATEGY

2.2.1 Characteristics of corporate level strategies

2.2.2 Advantages of well executed corporate strategy

2.2.3 Elements of Corporate Level Strategy

2.2.4 Challenges of Corporate Level Strategy

2.2.5 Corporate Level Strategy in Strategic Management

2.3 TYPES OF CORPORATE LEVEL STRATEGY

2.3.1 Growth strategies /Expansion Strategies

2.3.2 Stability Strategy

2.3.3 Retrenchment Strategy

2.3.4 Combination Strategy

2.4 BLUE OCEAN STRATEGY

2.4.1 Process of Blue Ocean Strategy

2.4.2 Applications of Blue Ocean Strategy

2.4.3 Difficulties in Blue Ocean Strategy

2.5 RED OCEAN STRATEGY

2.5.1 Differences between Red Ocean Strategy and Blue Ocean Strategy

2.6 SUMMARY

2.7 KEY TERMS

2.8 QUESTIONS and EXERCISES

2.9 FURTHER READING

2.0 LEARNING OBJECTIVES

After cover this unit you will be:

- Understand key concepts of corporate-level strategy.
- Analyze diversification and its impact on performance.
- Manage and assess corporate business portfolios.
- Make strategic corporate-level decisions using analytical tools.
- Comprehend global strategy and competitive dynamics.
- Formulate strategic recommendations for corporations.

2.1 INTRODUCTION

Corporate-level strategy plays a vital role in strategic management by shaping the overall direction of an organization and impacting all its operations. It guides decisions made by top leadership, influences the entire company, and ensures that different business units are aligned with the organization's objectives.

A company's whole activities are carefully examined as part of corporate-level strategy in order to identify the most effective course for expansion or value generation. Businesses need this strategy since it aids in the establishment and accomplishment of their long-term goals. With an emphasis on choices that affect the entire business, it describes the organization's overarching direction and strategic objectives. This include choosing which markets to enter, figuring out how to improve overall corporate performance, and creating synergies across different business groups.

2.2 MEANING OF CORPORATE STRATEGY

Corporate-level strategy involves a thorough review of a company's entire operations to set a strategic path focused on boosting growth or value. This approach is essential for businesses, as it allows them to develop and achieve their long-term goals.

It defines a company's overarching direction and goals. It is concerned with the decisions that affect the entire organization, such as which markets to compete in, how to optimize overall corporate performance.

2.2.1 Characteristics of Corporate Level Strategy

A company's overall approach to managing its portfolio of operations, with the goal of generating value across several divisions or units, is referred to as its corporate-level strategy. Some essential elements of corporate-level strategy are listed below:

1. **Long-Term Focus** Corporate-level strategies are crafted with a long-term vision, setting the foundation for future growth and sustainability. They help companies anticipate market trends, adjust to economic changes, and ensure alignment between long-term goals and day-to-day operations.
2. **Big-Picture Perspective and Focus on Overarching Goals** These strategies take a broad view of the entire organization, targeting overarching objectives such as market

expansion, new product development, or operational efficiency. The aim is to ensure that all efforts across the company are aligned with its ultimate goals.

3. **Horizontal, Forward, and Backward Integration** Integration strategies enable businesses to control more of their supply chain, from production to sales. This can involve mergers with complementary companies or acquiring businesses along the supply chain to streamline operations and lower costs.
4. **Liquidation for Shutting Down Operations** In some cases, the best strategic decision is to discontinue parts of the business that no longer align with overall goals. Liquidation can release resources, allowing the company to focus on more profitable or promising areas.
5. **Concentrations for Focusing Resources** Concentration strategies focus resources on a core business line or market segment to dominate it and improve efficiency. This often involves narrowing the scope of operations to concentrate more intensively on a key area of expertise.
6. **Navigating Complexity** Corporate-level strategies help companies manage the complexities of market dynamics, regulatory environments, and global operations. They provide a framework for decision-making that aligns with the company's broader objectives and risk tolerance.
7. **Dynamic Strategies for Evolving Over Time** The ability to adapt strategies to changing market conditions is essential. Dynamic strategies involve regular reassessment and adjustments to stay aligned with both current and anticipated business climates.
8. **Impacting the Entire Organization** Decisions made at the corporate level affect the entire organization. This unified direction ensures that all teams and departments are working toward the same objectives.
9. **Collaborative Strategy Development** In modern organizations, the development of strategy are often a collaborative effort. Input from various stakeholders across the company ensures that the strategy is well-rounded and considers diverse perspectives.

Additional Characteristics of Corporate-Level Strategy:

- **Scope Determination:** Decides the breadth of business operations, whether focused or diversified.
- **Synergy and Value Creation:** Aims to maximize performance by leveraging shared resources and capabilities across different units.
- **Communication and Transparency:** Clearly communicating the strategy fosters alignment and trust among stakeholders.
- **Adaptability and Flexibility:** The strategy must be able to respond to changes in the environment, market conditions, and competitive landscape.
- **Leadership and Governance:** Strong leadership provides vision, while effective governance ensures accountability and ethical behaviour throughout the organization.

2.2.2 Advantages of Well Executed Corporate Strategy

A well-executed corporate-level strategy offers numerous benefits, including:

1. **Enhanced Profitability and Market Presence:** By leveraging core strengths and seizing market opportunities, companies can boost their profitability and increase their market share.
2. **Effective Portfolio Management:** A robust corporate strategy involves overseeing a range of businesses to ensure that each contributes positively to the overall goals.
3. **Risk Mitigation:** Strategic planning at the corporate level helps in identifying potential risks and devising strategies to address them proactively.
4. **Optimal Resource Allocation:** Strategically directing resources across various business units ensures the efficient use of assets and maximizes investment returns.
5. **Alignment with Organizational Mission and Values:** Corporate strategies align daily activities with the organization's long-term mission and values, providing a unified direction.
6. **Proactive and Strategic Decision-Making:** With a clear strategy in place, businesses can be proactive rather than reactive, allowing them to seize opportunities and address challenges effectively.
7. **Competitive Advantage:** By distinguishing themselves from competitors and capitalizing on unique strengths, businesses can maintain a competitive edge in their industry.
8. **Enhanced Decision-Making:** A well-defined strategic framework streamlines decision-making processes, leading to more effective outcomes.
9. **Clarity and Focus:** A clear corporate strategy ensures that all levels of the organization are aligned and working towards common objectives.
10. **Adaptability and Flexibility:** Strategic planning supports adaptability and flexibility, which are essential for navigating changes and achieving long-term success.

2.2.3 Elements of Corporate Level Strategy

Key elements related to forming a corporate level strategy includes:

- **Visioning:** Establishing a clear and inspiring vision for the future of the organization.
- **Objective setting:** Defining specific, measurable, achievable, relevant, and time-bound objectives that support the vision.
- **Resource allocation:** Deciding where to allocate resources to maximize impact on strategic goals.
- **Strategic trade-offs:** Making informed decision on what to do and what to let go to achieve objectives.

2.2.4 Challenges of Corporate Level Strategy

Corporate-level strategy presents several challenges as organizations navigate complex environments and make decisions impacting the entire enterprise. Key challenges include:

Alignment Across Business Units: Coordinating the strategies of various business units to align with the overarching corporate strategy can be difficult, particularly in large organizations with a diverse range of operations.

External Pressures and Market Changes: Adapting to external factors such as economic shifts, regulatory changes, and technological advancements requires strategic agility and flexibility.

Maintaining Agility and Strategic Focus: Striking a balance between remaining agile and responsive to market changes while adhering to a clear strategic direction can be challenging.

Effective Resource Allocation: Efficiently distributing resources among different business units to enhance overall performance and meet strategic goals can be complex.

Balancing Immediate and Long-Term Objectives: Navigating the need to achieve short-term results while pursuing long-term strategic goals demands careful planning and execution.

2.2.5 Corporate Level Strategy in Strategic Management

In strategic management, corporate-level strategy is essential for guiding the overall direction of an organization. It involves:

Defining Business Scope: Deciding which markets and industries the organization will compete in and how to oversee its portfolio of business operations.

Resource Distribution: Allocating resources—such as capital, talent, and technology—across various business units according to their strategic significance.

Establishing Long-Term Goals: Setting long-term goals that are in line with the organization's mission and vision.

Balancing Stakeholder Interests: Addressing and balancing the needs and expectations of various stakeholders, including shareholders, employees, customers, and the community.

2.3 TYPES OF CORPORATE LEVEL STRATEGY

A corporate-level strategy defines the overall direction and goals for a company. It considers the big picture, outlining how the business will compete across different markets and allocate resources among its various business units. Here's a breakdown of the main types of corporate-level strategies:

- Growth strategies / Expansion Strategies
- Stability Strategies
- Retrenchment Strategies
- Combination Strategy

2.3.1 Growth Strategies /Expansion Strategies

Growth strategies, also known as expansion strategies, are methods that companies implement to expand their market presence, boost revenue, and enhance profitability. These strategies typically include market penetration, product development, market expansion, and diversification.

Market penetration strategy focuses on growing market share within current markets using existing products. Common approaches include:

- **Pricing and Discounts:** Offering competitive prices or discounts to attract a larger customer base.
- **Innovative Marketing and Advertising:** Using strategies like influencer marketing, integrated campaigns, and field marketing to increase brand visibility and customer engagement.
- **Product Development:** Enhancing or adding new features to existing products to appeal to more customers.
- **Distribution Enhancements:** Expanding distribution networks to make products more accessible to a wider audience.
- **Customer Service Excellence:** Improving customer service to boost satisfaction and customer loyalty.
- **Resellers, Dealerships, & Partnerships:** Creating new partnerships or dealership networks to widen market reach.
- **Increasing Usage among Existing Customers:** Encouraging existing customers to use the product more often through promotions or by highlighting new use cases.
- **Simplifying the Buyer's Journey:** Streamlining the purchasing process to make it easier and more attractive to customers.
- **Expanding into New Geographies:** Entering new regions to broaden market presence.
- **Outperforming Competitors:** Implementing strategies that give the company an edge over competitors.

There are some strategies come under growth/expansion strategy which is discussed below:

A. Product Development Strategy

Product development strategy is centred on bringing new products to existing markets. Key steps include:

- **Idea Generation and Screening:** Creating new product ideas and evaluating them for feasibility.
- **Concept Development and Evaluation:** Refining product concepts and assessing their potential for market success.
- **Design and Development:** Designing and developing the new product.
- **Testing and Validation:** Conducting real-world tests and making necessary adjustments to the product.
- **Production and Launch:** Scaling up production and launching the product to the market.

- **Cross-Functional Teams:** Leveraging teams from different departments to improve the product development process.
- **Agile Development:** Applying agile methodologies to accelerate development and quickly adapt to changes.

B. Market Development Strategy

Market development focuses on entering new markets with existing products. Common strategies include:

- **Target Market Identification:** Identifying potential new markets for current products.
- **Market Research:** Conducting research to understand the dynamics of the new market.
- **Marketing and Communication:** Creating marketing campaigns specifically tailored to the new market audience.
- **Pricing and Distribution Strategies:** Developing pricing and distribution methods that align with the needs of the new market.

C. Diversification Strategies

Diversification strategies focus on expanding into new markets with new products, offering significant growth opportunities while also increasing risk. These strategies include:

- **Concentric Diversification:** Expanding into related industries to leverage technological or marketing synergies.
- **Horizontal Diversification:** Entering different industries with products or services that may appeal to the company's existing customer base.
- **Conglomerate Diversification:** Expanding into completely unrelated industries to spread risk across different sectors.

D. Integration Strategies

Integration strategies involve merging with or acquiring other companies to strengthen competitive positioning and capitalize on synergies. These strategies include:

- **Horizontal Integration:** Merging with or acquiring competitors to expand market share and reduce competition.
- **Vertical Integration:** Acquiring businesses within the supply chain to lower costs and gain greater control over the production process.

2.3.2 Stability Strategy

Stability strategies are aimed at preserving the current status quo to maintain steady growth while minimizing risks. These strategies include:

- **No-Change Strategy:** Maintaining the existing business strategies without major alterations to avoid potential risks.
- **Profit Improvement Strategy:** Concentrating on enhancing profitability through cost reduction and improving operational efficiency.
- **Pause Strategy:** Temporarily halting growth efforts to consolidate resources and plan for future strategies.

2.3.3 Retrenchment Strategy

Retrenchment strategies are used to decrease the scale or scope of a company's operations. Examples include:

- **Divestment Strategy:** Selling off underperforming business segments or those that are not essential to the company's strategic goals.
- **Turnaround Strategies:** Implementing significant changes to reduce costs and restructure operations to regain profitability.
- **Liquidation Strategy:** Shutting down operations and selling off assets as a last resort when the business is no longer viable.

2.3.4 Combination Strategy

A combination strategy involves the simultaneous use of various core strategies, such as stability, expansion, or retrenchment. This approach allows companies to implement multiple strategies either within the same business area or across different sectors to improve efficiency. Unlike the traditional strategies of growth, stability, and retrenchment, a combination strategy offers flexibility, enabling businesses to adapt to changing market conditions by blending elements from each strategy. This approach is particularly advantageous for large organizations with diverse business units. It allows them to pursue growth in some areas while focusing on stability or retrenchment in others, balancing short-term profitability with long-term goals. For example, a company might reduce costs (retrenchment) while investing in research and development (growth) to drive future innovation. This adaptability is crucial for navigating today's dynamic business landscape.

Types of Combination Strategies:

- **Simultaneous:** Applying different strategies to various business units at the same time.
- **Sequential:** Implementing different strategies for the same business unit over time, such as a turnaround followed by market development.
- **Mixed:** Combining elements of different strategies within the same unit, like cost reduction paired with product development.

2.4 BLUE OCEAN STRATEGY

In the ever changing business environment of today, it can be difficult for companies to compete in crowded markets and distinguish out from the competition. Nonetheless, the Blue

Ocean method is a potent business strategy that may help companies stand out from the competition and open up unexplored areas. The Blue Ocean Strategy is a business framework developed by W. Chan Kim and Renée Mauborgne with the goal of creating new markets or industries with minimal competition. This approach differs from the traditional Red Ocean Strategy, which concentrates on taking on well-established companies in existing markets. The Blue Ocean Strategy is straightforward: find an untapped or underserved new market or industry, and then create a distinctive value proposition that appeals to the customers of that market.

2.4.1 Process of Blue Ocean Strategy

The Blue Ocean Strategy includes four major steps:

1. **Eliminate:** Identify and eliminate industry characteristics that do not provide value to clients, such as unneeded features or services.
2. **Cut:** Determine which parts of the industry are overserving customers and cut those services to provide a more cost-effective offering.
3. **Raise:** Identify areas of the sector where clients are underserved and increase those services to better fulfill their demands.
4. **Develop** new features or services that do not currently exist in the industry, and create a distinct value proposition that sets the organization apart.

Peloton, a fitness technology company, has successfully implemented the Blue Ocean Strategy by offering a personalized at-home workout experience that combines elements of boutique fitness studios. Peloton offers a range of fitness classes that can be accessed through their bike or treadmill equipment.

2.4.2 Applications of Blue Ocean Strategy

The Blue Ocean Strategy has several significant uses, including:

New market creation: The Blue Ocean Strategy can be used to establish new markets and sectors by finding unmet customer needs and establishing distinctive value propositions that resonate with customers.

Market differentiation: The Blue Ocean Strategy can be used to separate a company from competitors by developing a distinct value proposition that distinguishes it from others in the industry.

The Blue Ocean Strategy can be used to spur innovation by pushing businesses to look outside the box and develop fresh, innovative solutions to client needs and difficulties.

Cost optimization: The Blue Ocean Strategy can be used to optimize costs by identifying and deleting unneeded features or services, as well as avoiding over-service.

2.4.3 Difficulties in Blue Ocean Strategy

However, the strategy for the blue ocean is not without its obstacles. Finding a fresh market or sector that is truly untouched can be tough, and developing a distinct value offer necessitates a thorough understanding of client wants and behavior. Furthermore, the process of eliminating, lowering, increasing, and developing can be time-consuming and resource-intensive.

To summarize, the Blue Ocean Strategy is an effective approach for firms seeking to differentiate themselves and establish new markets with untapped potential. Companies can create a Blue Ocean by analyzing client demands and building a distinct value proposition, rather than competing just on price or features. While there are hurdles to implementing the Blue Ocean Strategy, the potential benefits are enormous for businesses seeking to prosper in a competitive market.

2.5 RED OCEAN STRATEGY

The Red Ocean Strategy stands for fierce and vicious rivalry.

Corporate strategists utilize the Red Ocean strategy as a marketing tool to compete in an established market. Several companies fighting for a competitive edge over one another are examples of this tactic. Businesses outmanoeuvre their rivals in a red ocean to compete for the same customers and market share. This tactic aims to increase client satisfaction by offering top-notch goods and services. It prioritizes keeping current customers over acquiring new ones. Consequently, companies try to draw customers by offering high-quality goods. In the fast-food sector, where popular businesses like McDonald's, Burger King, and KFC compete in a crowded market, a red ocean strategy is evident.

2.5.1 Differences between Red Ocean Strategy and Blue Ocean Strategy

Red ocean strategists aim to gain a competitive advantage by analyzing competitors' strategies and improving their own. Obtaining a larger portion of a finite market is viewed as a zero-sum game in which one company's gain is offset by another's loss. They are focused on splitting the red ocean, where growth is becoming increasingly limited. Such strategic thinking causes corporations to categorize industries as desirable or unattractive, and then determine whether or not to enter.

Blue ocean strategists understand that market borders exist only in managers' thoughts, and they do not allow current market structures to constrain their thinking. Extra demand, according to them, exists but remains mostly untapped. The crux of it



Basis	Blue Ocean Strategy	Red Ocean Strategy
Competition	Low competition	High competition
Focus	Emphasizes creating new demand through innovation.	Focuses on capturing existing demand and outperforming rivals.
Market space	Creates new marketplace by offering unique products or services.	Competes within the boundaries of existing market segments.
Risk	Lower risk.	Higher risk.
Customer value	Focuses on creating and capturing new value for customers.	Competes by improving the existing products or services
Marketing approach	Positive, future-oriented; emphasizes growth and opportunity	Negative, present – oriented; Often focuses on beating competition.

New Market Creation vs. Existing Market

The foundation of the red ocean strategy is remaining in the current market and engaging in fierce competition. The blue ocean strategy, on the other hand, looks into potential ways to create completely uncontested new markets. By concentrating on individual users rather than business clients, Canon, for instance, created a new market for small desktop printers. Office printing underwent a revolution as a result.

Making Competition Irrelevant vs. Beating Competition

Outperforming the competition through aggressive marketing, lower prices, and an exceptional user experience is known as the "red ocean" strategy. Contrarily, the goal of the

blue ocean approach is to create substitutes for current goods and services in order to make rivals obsolete.

Breaking Value-Cost Trade-Off vs. Making Value-Cost Trade-Off

Organizations using red ocean methods have to decide between offering customers more value and lowering prices. On the other hand, businesses that employ a blue ocean strategy aim to achieve both low cost and differentiation. One of the best examples of this approach is Airbnb. By bringing together current property owners and visitors on a single, easy-to-use platform, Airbnb transformed the travel experience by offering both parties value at affordable prices.

Creating New Demand vs. Capturing Existing Demand

The goal of the red ocean plan is to meet as much of the current demand as is practical. The blue ocean strategy, on the other hand, aims to create new demand by offering innovative solutions. For instance, Netflix's business strategists changed the company's business model from selling and renting DVDs to a streaming service, opening up a new market niche and providing opportunities for watching high-quality, reasonably priced movies.

2.6 SUMMARY

Corporate-level strategy defines the overall direction and goals of an organization, impacting all operations and ensuring alignment across business units. It involves reviewing a company's entire operations to choose the best growth path and achieve long-term objectives. Key strategies include growth (expansion into new markets), stability (maintaining current operations), retrenchment (reducing scale or scope), and combination strategies (blending multiple approaches for flexibility). These strategies help optimize resource allocation, create synergies, and balance short- and long-term goals, while also addressing challenges like aligning diverse business units and adapting to market changes. Additionally, the Blue Ocean Strategy focuses on creating new market spaces with little competition, while the Red Ocean Strategy centers on competing within existing markets.

Key benefits of effective corporate-level strategy include enhanced profitability, risk mitigation, and proactive decision-making. It also ensures the organization's actions align with its mission and values. Ultimately, corporate-level strategy is essential for navigating complex environments and achieving sustainable growth.

2.7 KEY TERMS

1. **Corporate-Level Strategy:** The strategic decisions that guide the overall direction of a company, influencing all its operations and ensuring alignment between business units.

2. **Growth Strategies:** Methods to expand a company's market presence, increase revenue, and improve profitability, including market penetration, product development, and diversification.
3. **Stability Strategies:** Approaches that focus on maintaining steady growth while minimizing risks, such as maintaining the status quo or enhancing profitability through cost reduction.
4. **Retrenchment Strategies:** Strategies to reduce the scale or scope of a company's operations, such as divestment or restructuring to regain profitability.
5. **Combination Strategy:** The use of multiple strategies simultaneously, allowing companies to pursue growth in some areas while focusing on stability or retrenchment in others.
6. **Synergy:** The creation of additional value by combining resources and capabilities across different business units.
7. **Resource Allocation:** The process of deciding how to distribute resources across various business units to achieve strategic goals.
8. **Blue Ocean Strategy:** A strategy that focuses on creating new market spaces with little to no competition by offering unique products or services.
9. **Red Ocean Strategy:** A strategy centered on competing in existing markets by outperforming rivals to capture existing demand.
10. **Value Proposition:** A unique offering that distinguishes a company from its competitors by addressing unmet customer needs.
11. **Market Penetration:** Expanding market share within current markets using existing products.
12. **Product Development:** Introducing new products to existing markets to fuel growth.
13. **Diversification:** Expanding into new markets with new products, which can increase both growth opportunities and risks.
14. **Vertical Integration:** Merging with or acquiring businesses within the supply chain to lower costs and gain greater control over production.
15. **Horizontal Integration:** Merging with or acquiring competitors to increase market share and reduce competition.

2.8 QUESTIONS and EXERCISES

Short-Answer Questions:

1. What is the primary focus of corporate-level strategy?
2. Define retrenchment strategy.
3. What is the key difference between Blue Ocean and Red Ocean strategies?
4. How does a combination strategy benefit a company?

5. What is the goal of resource allocation in corporate-level strategy?
6. What are the benefits of implementing a growth strategy?
7. What does stability strategy aim to achieve within a company?
8. How does diversification reduce risk for a company?
9. Define the concept of vertical integration in corporate strategy.
10. What is the importance of value proposition in creating a competitive advantage?

Long-Answer Questions:

1. Discuss the various types of corporate-level strategies and how they influence the overall growth and stability of a company.
2. How can the synergy created by corporate-level strategy impact the performance of different business units?
3. Explain the challenges of aligning diverse business units under a unified corporate-level strategy in a rapidly changing market environment.
4. How does the Blue Ocean Strategy enable companies to create new market spaces, and how does this compare to the competitive approach of the Red Ocean Strategy?
5. In what ways can an effective corporate-level strategy ensure long-term profitability and sustainability for a company in a competitive landscape?
6. Compare and contrast vertical and horizontal integration strategies. How do they contribute to a company's competitive position in the market?
7. How can a company balance the need for stability with the desire for growth when forming its corporate-level strategy?
8. Analyse the role of corporate-level strategy in resource allocation and how it affects a company's ability to respond to market opportunities.
9. How does retrenchment strategy help companies in times of financial distress, and what are the potential risks of using such a strategy?
10. Discuss the impact of corporate-level strategy on organizational culture and employee engagement. How can strategic alignment enhance overall company performance?

2.9 FURTHER READING

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Barney, J. B., & Hesterly, W. S. (2019). *Strategic management and competitive advantage: Concepts and cases* (6th ed.). Pearson.

UNIT 3 BUSINESS LEVEL STRATEGY

The objectives of this unit are to enable you:

OBJECTIVES:

After completion of this lesson the student will be able to understand:

- Explain the nature of market and its interaction with other corporate functions.
- Review the changing role of a manager and his/her position in the strategy implementation.
- Discuss agency problems arising from the relationship between customer and organization.
- Illustrate the organization of the strategic function.
- Focus on functional strategy principle.

STRUCTURES:

3.1 MEANING OF VALUE CHAIN ANALYSIS

3.1.1 The Role of Value Chain Analysis in Strategic Management

3.1.2 Applying Value Chain Analysis in Strategic Management

3.1.3 Components of a value chain

3.2 CORE COMPETENCE

3.2.1 Characteristics of Core Competencies

3.2.2 Role of Core Competencies in Strategic Management

3.2.3 Developing and Nurturing Core Competencies

3.3 GLOBAL ISSUES IN STRATEGIC MANAGEMENT

3.4 SUMMARY

3.5 KEY WORDS

3.6 QUESTIONS

3.7 FURTHER READINGS

3.1 MEANING OF VALUE CHAIN ANALYSIS

In strategic management, value chain analysis is a critical tool used to understand how a company creates value for its customers and how this value creation process can be optimized to gain a competitive advantage. It plays a pivotal role in the development and implementation of business strategies by helping organizations identify areas where they can enhance their efficiency, reduce costs, or differentiate their products or services. The attractiveness of the PSASV industry for new entrants and the competitive forces operating in the industry suggest scope for further analysis of the way in which firms operate and position themselves in this industry. The value chain approach is useful in this context to associate the way in which activities are performed in this industry for delivering value. The value chain approach looks at the activities of an organization, and relates them to the competitive strengths of the organization. Value chains are built on the idea that an organization is more than a random compilation of machinery, processes, environment, technology, equipment, people, and money. Only if these inputs are arranged into systems is it possible to produce something of value for which customers will pay. This ability to perform particular activities and manage the linkages between activities is the basis of business competitive advantage. The provisions of primary activities in the value chain are concerned with the creation or delivery of a product or service. Each of these in turn is linked to support activities that help to improve effectiveness or efficiency. There are four main areas of support activities: procurement, technology development, human resource management, and infrastructure (systems for planning, finance, quality, information management, etc.). Thus, a firm's line functions would likely have primary activities and streams (sales, marketing, manufacturing, operations, and IT) and staff functions would have supporting activities and streams. As well, there would be intersections of streams such as IT fulfilment.

3.1.1 The Role of Value Chain Analysis in Strategic Management

1. Identifying Competitive Advantage:

- Value chain analysis helps managers understand which activities within the company are the most crucial for creating value. By analyzing these activities, companies can identify their strengths (e.g., superior technology, efficient production processes, or strong marketing) and leverage them to create a competitive advantage.

2. Cost Leadership and Differentiation:

- **Cost Leadership:** By examining the cost structure of each activity in the value chain, a company can identify opportunities to reduce costs and achieve a cost leadership position. This could involve streamlining processes, improving supply chain efficiency, or leveraging economies of scale.
- **Differentiation:** Companies can use value chain analysis to identify ways to enhance the uniqueness of their products or services. By focusing on activities

that add significant value to the customer, such as innovation, quality control, or customer service, a company can differentiate itself from competitors.

3. Strategic Decision-Making:

- Value chain analysis provides a framework for making strategic decisions related to investment, outsourcing, and resource allocation. For example, a company might decide to invest more in R&D (Research and Development) to enhance product innovation or outsource non-core activities to focus on areas where it has a competitive edge.

4. Identifying Value-Adding and Non-Value-Adding Activities:

- Through value chain analysis, companies can distinguish between activities that add value to the product or service and those that do not. This allows for the elimination or reengineering of non-value-adding activities, thereby improving overall efficiency and effectiveness.

5. Enhancing Operational Efficiency:

- By analyzing the value chain, organizations can identify bottlenecks or inefficiencies in their processes and take steps to optimize these areas. This can lead to improved operational efficiency, reduced lead times, and better resource utilization.

6. Integration and Coordination:

- Effective strategic management requires coordination across various departments and functions within a company. Value chain analysis promotes a holistic view of the company's operations, encouraging better integration and collaboration between different parts of the organization.

3.1.2 Applying Value Chain Analysis in Strategic Management

1. Strategic Planning:

- During the strategic planning process, value chain analysis helps in setting priorities and determining where to allocate resources for maximum impact. It ensures that the company's strategy is aligned with its strengths and market opportunities.

2. Competitive Benchmarking:

- Companies can use value chain analysis to benchmark their performance against competitors. By comparing their value chain activities with those of leading companies in the industry, they can identify best practices and areas for improvement.

3. Strategic Outsourcing:

- Value chain analysis can guide decisions about which activities should be kept in-house and which should be outsourced. Non-core activities that do not contribute significantly to competitive advantage might be outsourced to specialists, allowing the company to focus on its core competencies.

4. Innovation and Continuous Improvement:

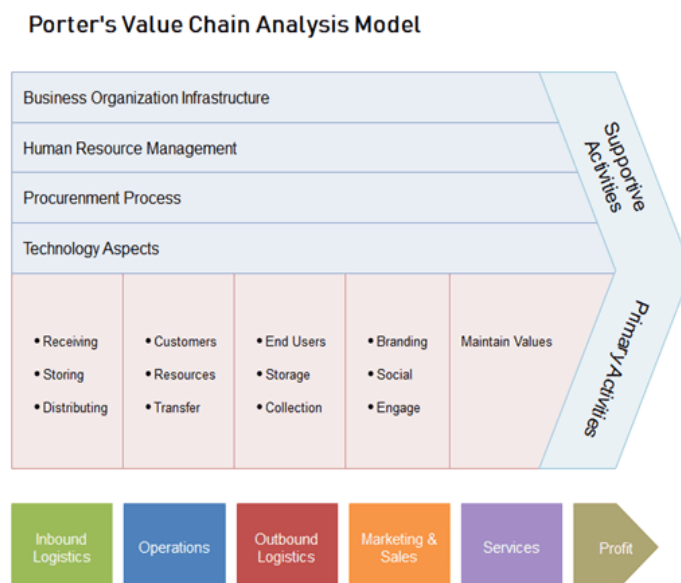
- Value chain analysis encourages a culture of continuous improvement by regularly assessing the effectiveness of each activity. It also fosters innovation by highlighting areas where new technologies or processes could create additional value.

3.1.3 Components of a value chain

Current model of the value chain comes from Michael Porter's 1985 book, *Competitive Advantage*. Considering how quickly trends move in sales, the fact that we still use this model speaks to how well it works and how much it's benefitted companies over the years. Porter breaks VCA into five primary activities and four secondary activities that together create value greater than the cost of performing those activities.

That premise makes sense: Profit is created when the overall cost of producing your product is less than the amount you sell that product for. However, it's common to see companies that don't track all aspects of product creation and therefore miss opportunities to increase profit margins.

Value chain analysis chart



The VCA chart is broken into two sections: primary activities and supportive (or secondary) activities. Primary activities focus on the manufacturing of goods and services, while secondary activities back up primary activities.

Example: Strategic Management at Amazon

Amazon uses value chain analysis to continuously refine its operations and maintain its competitive edge. For example:

- **Inbound Logistics:** Amazon has optimized its supply chain with advanced inventory management systems and strategic partnerships with suppliers, reducing costs and improving efficiency.
- **Operations:** Amazon's use of automation and robotics in its warehouses enhances productivity and reduces operational costs.

- **Outbound Logistics:** Amazon's vast distribution network and logistics infrastructure allow for fast delivery times, a key differentiator in the e-commerce space.
- **Marketing and Sales:** Amazon leverages data analytics to target customers with personalized recommendations, increasing sales and customer satisfaction.
- **Service:** Amazon's commitment to customer service, including its hassle-free return policy, enhances customer loyalty.

Through strategic value chain analysis, Amazon identifies areas for innovation, cost reduction, and differentiation, ensuring that its strategy is consistently aligned with its goal of being the most customer-centric company in the world.

Value chain analysis is a fundamental tool in strategic management, helping companies understand how to create and sustain competitive advantage. By breaking down the company's activities and analyzing their contribution to overall value, businesses can make informed strategic decisions, optimize their operations, and better meet the needs of their customers. Value chain analysis is a strategic tool used to identify and analyze the activities that create value within a company or organization. This analysis helps in understanding how value is added at each step of the production process and how these activities contribute to the overall competitive advantage of the company.

3.2 CORE COMPETENCE

In strategic management, the concept of core competence refers to a company's unique capabilities or strengths that are critical to its competitive advantage. Core competencies are the collective learning, knowledge, and skills embedded within an organization that enables it to deliver distinctive value to customers and set itself apart from competitors. Core competencies are the resources and capabilities that comprise the strategic advantages of a business. A modern management theory argues that a business must define, cultivate, and exploit its core competencies in order to succeed against the competition.

3.2.1 Characteristics of Core Competencies

1. **Unique and Difficult to Imitate:**
 - Core competencies are unique to the organization and not easily replicated by competitors. This uniqueness provides a sustainable competitive advantage.
2. **Wide Application Across Markets:**
 - Core competencies can be leveraged across different products, services, and markets, allowing a company to diversify and innovate without losing its competitive edge.
3. **Contribution to Customer Value:**
 - They significantly contribute to the perceived customer benefits of a product or service. Core competencies help in delivering products or services that offer greater value to customers.
4. **Enhancing Business Capabilities:**

- They are fundamental to a company's ability to create new products or services and enter new markets, enabling the firm to grow and adapt over time.

Examples of Core Competencies

1. Apple:

- Apple's core competencies include its design expertise, innovation in user interfaces, and seamless integration of hardware and software. These competencies have enabled Apple to create highly differentiated products like the iPhone and Mac, which are renowned for their design, ease of use, and ecosystem integration.

2. Google:

- Google's core competencies revolve around its search algorithms and data management capabilities. These have allowed Google to dominate the search engine market and expand into various other areas, such as online advertising, cloud computing, and AI.

3. Toyota:

- Toyota's core competencies include its lean manufacturing system, often referred to as the Toyota Production System (TPS), which focuses on efficiency, quality control, and continuous improvement. This has allowed Toyota to produce high-quality vehicles at competitive prices and maintain a strong position in the global automotive industry.

3.2.2 Role of Core Competencies in Strategic Management

1. Strategic Focus:

- Identifying and nurturing core competencies helps companies focus their strategic efforts on areas where they have a competitive edge. This focus allows for more effective allocation of resources and better strategic decision-making.

2. Sustaining Competitive Advantage:

- Core competencies are key to sustaining long-term competitive advantage. By continuously developing and protecting these competencies, companies can maintain their market position even in the face of changing competitive dynamics.

3. Innovation and Growth:

- Core competencies drive innovation by enabling companies to develop new products, services, and business models. For example, a company with strong R&D capabilities can continuously innovate and introduce new technologies, thus staying ahead of competitors.

4. Strategic Flexibility:

- Companies with strong core competencies have the flexibility to adapt to market changes and enter new markets. This is because their core

competencies can be applied in various contexts, giving them a strategic advantage in diversification.

5. Creating Synergies:

- In diversified companies, core competencies can be used to create synergies between different business units. For instance, a company with a core competency in brand management can leverage this skill across multiple product lines to enhance brand equity.

3.2.3 Developing and Nurturing Core Competencies

1. Investing in Capabilities:

- Companies need to invest in building and strengthening their core competencies through training, R&D, technology development, and knowledge management.

2. Organizational Learning:

- Fostering a culture of continuous learning and improvement is crucial for maintaining core competencies. Organizations should encourage knowledge sharing and collaboration across departments to enhance collective learning.

3. Protecting Core Competencies:

- Since core competencies are sources of competitive advantage, companies must protect them from imitation by competitors. This can involve intellectual property protections, such as patents, as well as maintaining secrecy around certain processes.

4. Aligning with Strategy:

- Core competencies should be closely aligned with the company's overall strategy. Strategic decisions, such as mergers, acquisitions, and partnerships, should be made with the goal of enhancing or leveraging core competencies.

Core competencies are central to an organization's strategy as they define the unique strengths that allow a company to outperform its competitors. In strategic management, understanding, developing, and leveraging core competencies are essential for achieving sustained competitive advantage, driving innovation, and ensuring long-term success. By focusing on what they do best, companies can create value for customers, enter new markets, and maintain their leadership positions in their respective industries.

3.3 GLOBAL ISSUES IN STRATEGIC MANAGEMENT

Strategic management in today's interconnected world involves navigating a range of global issues that can significantly impact an organization's strategy and operations. Understanding these global issues is crucial for companies to adapt, thrive, and maintain competitive advantage in the global marketplace. Below are some of the key global issues in strategic management:

1. Globalization and Market Expansion

- **Challenges:** Companies must adapt to diverse cultural, legal, and economic environments when entering new markets. This includes managing cross-border operations, understanding local consumer behavior, and navigating complex regulatory landscapes.
- **Opportunities:** Globalization offers access to new customer bases, resources, and talent pools. Strategic management must focus on local adaptation, global branding, and optimizing supply chains for global efficiency.

2. Economic Uncertainty

- **Challenges:** Global economic fluctuations, such as recessions, inflation, and currency volatility, can disrupt strategic plans. Companies need to anticipate and mitigate risks associated with economic downturns, trade wars, and changing fiscal policies.
- **Opportunities:** Strategic management can focus on diversification, flexible business models, and hedging strategies to minimize the impact of economic uncertainty. Identifying and capitalizing on growth opportunities in emerging markets can also be a key focus.

3. Technological Advancements

- **Challenges:** Rapid technological changes can render existing business models obsolete. Strategic management must ensure that the organization stays ahead of technological trends and can integrate new technologies such as AI, blockchain, and automation.
- **Opportunities:** Embracing technological innovation can lead to competitive advantage through enhanced efficiency, new product development, and improved customer experiences. Digital transformation and data-driven decision-making are key areas of focus.

4. Sustainability and Environmental Concerns

- **Challenges:** Increasing pressure from governments, consumers, and stakeholders for sustainable practices means that companies must incorporate environmental considerations into their strategies. Issues like climate change, resource scarcity, and waste management are critical.
- **Opportunities:** Strategic management can leverage sustainability as a competitive differentiator by investing in green technologies, adopting circular economy models, and building sustainable supply chains. Companies can also enhance their brand reputation by committing to corporate social responsibility (CSR) initiatives.

5. Geopolitical Risks

- **Challenges:** Geopolitical instability, such as conflicts, trade disputes, and changing political regimes, can disrupt global supply chains, impact market access, and create regulatory uncertainties. Strategic planning must account for these risks.

- **Opportunities:** Companies can develop strategies to mitigate geopolitical risks through geographic diversification, strong government relations, and scenario planning. Understanding the geopolitical landscape can also provide opportunities for strategic alliances and market entry.

6. Cultural and Ethical Challenges

- **Challenges:** Operating across different cultures can lead to misunderstandings, ethical dilemmas, and management challenges. Issues such as labor standards, human rights, and cultural sensitivity are increasingly important in global strategic management.
- **Opportunities:** Companies can use cultural competence and ethical leadership as strategic assets. Building a culturally diverse workforce and fostering an inclusive corporate culture can enhance innovation, brand loyalty, and global collaboration.

7. Global Supply Chain Management

- **Challenges:** Managing a global supply chain involves dealing with issues like supply chain disruptions, logistical complexities, and supplier reliability. Events such as natural disasters, pandemics, and trade restrictions can cause significant challenges.
- **Opportunities:** Strategic management can focus on creating resilient and agile supply chains. Investing in technology for better supply chain visibility, diversifying suppliers, and adopting just-in-time (JIT) practices can help manage risks and improve efficiency.

8. Regulatory and Compliance Issues

- **Challenges:** Companies operating globally must comply with varying regulations across different countries, including labor laws, tax policies, and environmental regulations. Non-compliance can lead to legal penalties, financial losses, and reputational damage.
- **Opportunities:** Strategic management should emphasize strong compliance programs, regular audits, and adaptability to regulatory changes. Proactive engagement with regulators and industry bodies can also help shape favorable policies.

9. Global Talent Management

- **Challenges:** Attracting, retaining, and managing talent across different regions can be complex due to cultural differences, varying labor laws, and talent shortages. Global mobility, employee engagement, and leadership development are key challenges.
- **Opportunities:** Companies can leverage global talent pools by implementing effective talent management strategies, including remote work policies, global leadership programs, and diversity initiatives. Fostering a global corporate culture can enhance employee satisfaction and retention.

10. Digital Transformation and Cyber security

- **Challenges:** The global digital economy demands that companies embrace digital transformation while managing cyber security risks. Cyber threats, data breaches, and privacy concerns are critical issues that can affect business continuity and customer trust.
- **Opportunities:** Strategic management should prioritize cyber security measures and data protection as part of the digital transformation strategy. Embracing digital tools and platforms can improve operational efficiency, customer engagement, and data-driven insights.

11. Pandemics and Global Health Crises

- **Challenges:** The COVID-19 pandemic highlighted the impact of global health crises on business operations, supply chains, and consumer behavior. Companies must be prepared for the long-term implications of such crises on global business.
- **Opportunities:** Strategic management can focus on building resilience through scenario planning, crisis management, and digitalization. Companies can also explore new business models and opportunities in health-related industries and e-commerce.

12. Global Competition

- **Challenges:** The increasing number of global competitors, including those from emerging markets, means companies must continuously innovate and differentiate to stay ahead. The rise of new entrants and disruptive business models poses constant challenges.
- **Opportunities:** Companies can use strategic alliances, mergers and acquisitions, and innovation to strengthen their competitive position. Analysing global competitors and identifying potential threats and opportunities can inform strategic decision-making.

Global issues in strategic management require companies to be agile, forward-thinking, and adaptable. By understanding and addressing these challenges, companies can better position themselves for success in the global marketplace. Strategic management must continuously evolve to navigate the complexities of globalization, technological change, geopolitical shifts, and environmental sustainability.

3.4SUMMARY

Business-level strategy refers to the approach a company takes to compete effectively in a particular market or industry. It focuses on how the company will position itself to gain a competitive advantage and meet the needs of its target customers. The key elements of business-level strategy include the decisions on product offerings, market segments, pricing, and value proposition. For example, IKEA follows a cost leadership strategy by offering well-designed, functional home furnishings at low prices. They achieve this through efficient

supply chain management, flat-pack products, and a do-it-yourself assembly model. Their target market is broad, focusing on customers looking for affordable and stylish home solutions. Business-level strategy is crucial for defining how a company competes in its chosen market. By focusing on competitive advantage, target market, and value proposition, companies can position themselves to meet customer needs effectively and achieve long-term success. The right business-level strategy allows companies to differentiate themselves from competitors, optimize resources, and adapt to market changes.

3.5 KEY WORDS

Here are some key terms associated with business-level strategy:

1. **Competitive Advantage:** A unique attribute or combination of factors that allows a company to outperform its competitors.
2. **Cost Leadership:** A strategy focused on becoming the lowest-cost producer in the industry, often achieved through economies of scale, efficient operations, and reduced expenses.
3. **Differentiation:** A strategy that involves offering unique products or services that customers perceive as distinct and valuable, allowing the company to charge a premium price.
4. **Focus Strategy:** Targeting a specific, narrower market segment with tailored products or services, either through cost focus (low-cost niche) or differentiation focus (unique products for a niche).
5. **Value Proposition:** The value a company promises to deliver to its customers, highlighting the benefits or solutions its products or services provide.
6. **Core Competencies:** The unique strengths or capabilities of a company that give it an edge in the marketplace, such as technological expertise, skilled workforce, or brand reputation.
7. **Market Positioning:** The process of establishing a brand or product's identity within a target market by differentiating it from competitors.
8. **SWOT Analysis:** A strategic tool used to identify a company's internal Strengths and Weaknesses and external Opportunities and Threats, forming the basis for strategic decisions.
9. **Porter's Five Forces:** A framework developed by Michael Porter for analyzing the competitive environment, including supplier power, buyer power, competitive rivalry, threat of new entrants, and threat of substitutes.
10. **Value Chain Analysis:** Analyzing the series of activities (inbound logistics, operations, marketing, etc.) that create and deliver a product or service to understand where value is added.
11. **Resource-Based View (RBV):** A perspective that emphasizes using internal resources and capabilities as the foundation for a company's competitive strategy.
12. **Strategic Fit:** Ensuring that business strategies align with a company's internal capabilities and market conditions to enhance competitiveness and achieve objectives.
13. **Differentiated and Low-Cost Leadership:** A strategy that combines elements of differentiation and cost leadership, focusing on offering unique products at competitive prices.
14. **Growth Strategies:** Strategies aimed at expanding the business through market penetration, product development, market development, or diversification.

15. **Business Model:** The structure and systems a company uses to create, deliver, and capture value. It includes revenue streams, customer segments, cost structure, and key resources.

3.6 QUESTIONS

1. What is the primary goal of a business-level strategy?
2. Define cost leadership.
3. What is a value proposition?
4. How does differentiation create a competitive advantage?
5. What is the focus strategy in business-level strategy?
6. Why is market segmentation important in business-level strategy?
7. What role does resource allocation play in business-level strategy?
8. Name two risks associated with a cost leadership strategy.
9. What is a niche market?
10. How can a company sustain its competitive advantage over time?

3.7 FURTHER READINGS

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2. Fred R. David. (n.d.). Strategic Management CONCEPTS AND CASES.
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4. Barney, J. B., & Hesterly, W. S. (2015). Strategic management and competitive advantage: Concepts and cases. Pearson.

UNIT 4 FUNCTIONAL STRATEGY

The objectives of this unit are to enable you:

OBJECTIVES:

After completion of this lesson the student will be able to understand:

- Explain the nature of market and its interaction with other corporate functions.
- Review the changing role of a manager and his/her position in the strategy implementation.
- Discuss agency problems arising from the relationship between customer and organization.
- Illustrate the organization of the strategic function.
- Focus on functional strategy principle.

STRUCTURES:

4.1 MARKETING FUNCTIONAL STRATEGY

4.1.1 Key Components of Marketing Functional Strategies

4.1.2 Integration with Business Strategy

4.1.3 Marketing and Sales Functional Strategy

4.2 HUMAN RESOURCE FUNCTIONAL STRATEGY

4.2.1 Key Components of Human Resource Functional Strategies

4.2.2 Integration with Business Strategy

4.2.3 HR KPIs

4.3 FINANCIAL FUNCTIONAL STRATEGY

4.3.1 Key Components of Finance Functional Strategies

4.3.2 Integration with Business Strategy

4.4 SUMMARY

4.5 KEY WORDS

4.6 QUESTIONS

4.7 FURTHER READINGS

4.1 MARKETING FUNCTIONAL STRATEGIES

Marketing functional strategies in strategic management refer to specific actions and plans within the marketing function of a business that is designed to achieve broader strategic objectives. These strategies align the marketing efforts with the overall business strategy, ensuring that the company effectively reaches its target markets, satisfies customer needs, and achieves competitive advantage. Marketing has evolved as one of the most important functional units in any organization. Although marketing is a vast field itself, it basically focuses on identifying the needs of a target audience and then offering products or services to cater to those needs. A marketing strategy consists of different parts, but a marketing mix (product, price, place, promotion) is arguably the most important one.

4.1.1 Key Components of Marketing Functional Strategies

1. Market Segmentation, Targeting, and Positioning (STP)

- **Segmentation:** Dividing a broad market into distinct subsets of consumers with common needs or characteristics.
- **Targeting:** Selecting the segment(s) that the company can serve most effectively and profitably.
- **Positioning:** Crafting a unique value proposition and message that resonates with the selected target market.

2. Product Strategy

- **Product Development:** Creating new products or improving existing ones to meet customer needs.
- **Product Differentiation:** Developing unique product attributes that distinguish it from competitors.
- **Product Lifecycle Management:** Managing the product through its lifecycle stages—from introduction to growth, maturity, and decline.

3. Pricing Strategy

- **Value-Based Pricing:** Setting prices based on the perceived value to the customer rather than on cost.
- **Competitive Pricing:** Setting prices based on what competitors are charging.
- **Penetration and Skimming Strategies:** Using low introductory prices to gain market share (penetration) or high prices initially to maximize profits from early adopters (skimming).

4. Promotion Strategy

- **Integrated Marketing Communications (IMC):** Coordinating various promotional tools—advertising, public relations, sales promotions, etc.—to deliver a consistent message.
- **Digital Marketing:** Utilizing online channels like social media, SEO, and email marketing to reach and engage customers.
- **Branding:** Developing and maintaining a strong brand identity and image.

5. Distribution (Place) Strategy

- **Channel Management:** Selecting and managing distribution channels to ensure product availability.
 - **Logistics:** Managing the flow of goods from production to the customer efficiently.
 - **Retail and Wholesale Strategies:** Developing partnerships with retailers and wholesalers to maximize market coverage.
6. **Customer Relationship Management (CRM)**
- **Loyalty Programs:** Creating programs to retain customers and encourage repeat purchases.
 - **Customer Feedback:** Gathering and analyzing customer feedback to improve products and services.
 - **Personalization:** Using data to tailor marketing efforts to individual customer preferences.
7. **Sales Strategy**
- **Sales Force Management:** Recruiting, training, and managing a sales team to achieve sales targets.
 - **Sales Process Optimization:** Streamlining the sales process to improve efficiency and conversion rates.
 - **Key Account Management:** Focusing on building strong relationships with high-value customers.
8. **Innovation and Adaptation**
- **Market Research:** Continuously monitoring market trends, customer preferences, and competitive actions to adapt marketing strategies.
 - **Product Innovation:** Investing in R&D to develop new products or enhance existing ones.
 - **Agility:** Being flexible and responsive to changes in the market environment.

4.1.2 Integration with Business Strategy

Marketing functional strategies must align with the overall business strategy, whether the company is pursuing growth, market leadership, cost leadership, or differentiation. Effective integration ensures that marketing initiatives contribute directly to the achievement of broader business goals, such as market share expansion, profitability, and brand equity.

By aligning marketing functional strategies with the broader strategic goals of the organization, companies can create a cohesive approach that drives sustainable competitive advantage and long-term success.

The marketing management process is a continuous cycle of planning, executing, monitoring, and evaluating marketing strategies to ensure they align with business objectives and meet customer needs. By following this structured approach, businesses can effectively navigate the complexities of the market, respond to changes, and achieve sustainable growth.

4.1.3 Marketing and Sales Functional Strategy

Many marketing leaders struggle to see the results of their strategic plans. According to Gartner, only 13% of marketing leaders have seen results from their strategic plans. How can marketing and sales leaders improve their strategic planning and execution? The answer is marketing and sales functional strategy. A marketing and sales functional strategy is a plan that aligns the activities of the marketing and sales departments with the overall business objectives. It helps to define the target market, the value proposition, the marketing mix, and the sales process for a product or service. It also helps to measure and improve the performance of the marketing and sales functions by using metrics and feedback mechanisms.

Examples of marketing and sales functional strategy

Marketing and Sales Functional Strategies are pivotal in driving business growth, brand recognition, and customer engagement. Here are some real-life examples that showcase these strategies effectively:

Coca-Cola's Global Branding Strategy: Coca-Cola's marketing strategy is a prime example of successful global branding. The company has created a universally recognizable brand through consistent messaging, iconic advertising campaigns, and strategic sponsorships. Coca-Cola's ability to adapt its marketing to local cultures while maintaining a consistent global brand image demonstrates a highly effective international marketing strategy.

Nike's Just Do It Campaign: Nike's "Just Do It" campaign is an iconic example of a sales and marketing strategy that connects with consumers on an emotional level. The campaign, which focuses on inspiring athletes of all levels, has helped Nike to position itself as more than just a product but as a symbol of motivation and perseverance. This emotional branding strategy has been instrumental in driving sales and reinforcing Nike's position as a leader in the athletic apparel market.

Apple's Premium Pricing Strategy: Apple's marketing and sales strategy involves positioning its products as premium and aspirational, which justifies its higher price points. The company's focus on innovative design, high-quality materials, and a seamless user experience, combined with effective marketing, has created a strong brand loyalty. This strategy not only drives sales but also establishes Apple products as a status symbol.

Spotify's Freemium Model and Personalized Playlists: Spotify's marketing strategy includes offering a premium model where users can access basic services for free but pay for premium features. This strategy is complemented by personalized playlists and recommendations, which enhances user experience and engagement. By leveraging data to understand user preferences and create custom content, Spotify not only retains users but also effectively converts free users to paid subscribers.

4.2 HUMAN RESOURCE FUNCTIONAL STRATEGY

Human resource (HR) functional strategies in strategic management refer to the specific plans and actions within the HR function that support the achievement of an organization's overall strategic objectives. These strategies are designed to align human capital management with the broader goals of the business, ensuring that the company has the right people with the right skills in the right roles to execute its strategy effectively.

4.2.1 Key Components of Human Resource Functional Strategies

1. **Talent Acquisition and Recruitment**
 - **Strategic Workforce Planning:** Identifying current and future talent needs based on the company's strategic goals and planning recruitment accordingly.
 - **Employer Branding:** Developing a strong employer brand to attract top talent by showcasing the company's culture, values, and benefits.
 - **Diversity and Inclusion:** Implementing recruitment practices that promote diversity and inclusion within the workforce.
2. **Employee Development and Training**
 - **Skill Development:** Offering training programs that align with the organization's strategic needs, such as leadership development, technical skills, or soft skills.
 - **Continuous Learning:** Creating a culture of continuous learning through e-learning platforms, workshops, and seminars.
 - **Succession Planning:** Preparing for future leadership needs by identifying and developing internal talent for key roles.
3. **Performance Management**
 - **Goal Alignment:** Ensuring that individual performance goals align with the company's strategic objectives, often through the use of key performance indicators (KPIs).
 - **Feedback Systems:** Implementing regular performance reviews and feedback mechanisms to drive continuous improvement.
 - **Reward and Recognition:** Developing systems to reward and recognize high performance, which can include bonuses, promotions, and other incentives.
4. **Compensation and Benefits**
 - **Competitive Compensation:** Designing compensation packages that attract and retain top talent while aligning with the company's financial goals.
 - **Benefits Strategy:** Offering a comprehensive benefits package that may include health insurance, retirement plans, and wellness programs.
 - **Equity and Fairness:** Ensuring that compensation and benefits are equitable and reflect the contributions of employees across all levels.
5. **Employee Relations and Engagement**
 - **Employee Engagement Programs:** Developing initiatives to enhance employee engagement, satisfaction, and morale.

- **Conflict Resolution:** Establishing mechanisms for resolving workplace conflicts and fostering a positive work environment.
 - **Work-Life Balance:** Promoting work-life balance through flexible work arrangements, remote work options, and employee wellness programs.
6. **Organizational Culture and Change Management**
- **Culture Development:** Shaping and nurturing an organizational culture that supports the company's strategic goals, values, and mission.
 - **Change Management:** Leading and managing change initiatives effectively, including communication strategies and training to help employees adapt to new processes or structures.
 - **Employee Involvement:** Engaging employees in decision-making processes to foster a sense of ownership and commitment to organizational changes.
7. **Legal Compliance and Risk Management**
- **Labor Law Compliance:** Ensuring that HR practices comply with all relevant labor laws and regulations to avoid legal risks.
 - **Health and Safety:** Implementing policies and practices that promote a safe and healthy work environment.
 - **Data Security and Privacy:** Protecting employee data and ensuring compliance with data privacy regulations.
8. **HR Analytics and Technology**
- **HR Metrics and Analytics:** Using data to track HR performance, such as turnover rates, employee satisfaction, and the effectiveness of training programs.
 - **Technology Integration:** Leveraging HR technology, such as Human Resource Information Systems (HRIS), to streamline HR processes and improve decision-making.
 - **Predictive Analytics:** Using data to anticipate future HR needs, such as workforce trends or potential skill gaps.

4.2.2 Integration with Business Strategy

HR functional strategies must be closely aligned with the overall business strategy. For example, if a company is pursuing a growth strategy, HR may focus on scaling recruitment efforts and developing leadership talent. If the strategy is cost leadership, HR might focus on optimizing workforce efficiency and controlling labor costs.

By aligning HR functional strategies with the broader strategic goals of the organization, companies can ensure that their workforce is well-equipped to drive business success, achieve competitive advantage, and adapt to changing market conditions.

4.2.3 HR KPIs

Human Resource (HR) Key Performance Indicators (KPIs) are metrics used to measure the effectiveness and efficiency of HR processes, helping organizations track progress toward their strategic goals. These KPIs provide insight into various aspects of human resource management, from recruitment and employee engagement to training and retention.

Common HR KPIs

1. Time to Fill

- **Definition:** The average number of days it takes to fill a job vacancy from the time the position is posted until a candidate accepts the offer.
- **Importance:** Helps assess the efficiency of the recruitment process and identify bottlenecks.

2. Cost per Hire

- **Definition:** The total cost associated with hiring a new employee, including advertising, recruitment agency fees, interview costs, and onboarding expenses.
- **Importance:** Measures the cost-effectiveness of recruitment strategies.

3. Employee Turnover Rate

- **Definition:** The percentage of employees who leave the organization over a specified period, typically calculated monthly or annually.
- **Importance:** High turnover rates can indicate issues with job satisfaction, company culture, or employee engagement.

4. Retention Rate

- **Definition:** The percentage of employees who remain with the organization over a given period.
- **Importance:** A high retention rate indicates good employee satisfaction and effective retention strategies.

5. Employee Engagement Score

- **Definition:** A measure of how committed and motivated employees are, often assessed through surveys.
- **Importance:** High engagement typically leads to higher productivity and lower turnover.

6. Absenteeism Rate

- **Definition:** The average number of days employees are absent from work, excluding planned leave.
- **Importance:** High absenteeism can indicate low morale, health issues, or dissatisfaction.

7. Training and Development Participation Rate

- **Definition:** The percentage of employees who participate in training and development programs.
- **Importance:** Reflects the company's commitment to employee development and the workforce's skill enhancement.

8. Internal Promotion Rate

- **Definition:** The percentage of job openings filled by internal candidates.

- **Importance:** A high internal promotion rate can indicate effective talent management and employee satisfaction with career progression opportunities.
9. **Performance Management Completion Rate**
- **Definition:** The percentage of performance reviews completed on time.
 - **Importance:** Ensures that employees receive regular feedback and that performance management processes are followed.
10. **Offer Acceptance Rate**
- **Definition:** The percentage of job offers that are accepted by candidates.
 - **Importance:** A low acceptance rate may indicate issues with the job offer, such as compensation or company reputation.
11. **Diversity and Inclusion Metrics**
- **Definition:** Measures related to workforce diversity, such as the percentage of employees from different demographic groups (e.g., gender, ethnicity, age).
 - **Importance:** Helps track the success of diversity and inclusion initiatives.
12. **Employee Satisfaction Index**
- **Definition:** An overall measure of employee satisfaction, often derived from employee surveys.
 - **Importance:** Indicates general employee contentment and can predict turnover rates.
13. **HR-to-Employee Ratio**
- **Definition:** The ratio of HR staff to the total number of employees.
 - **Importance:** Helps determine the adequacy of HR staffing levels to meet the organization's needs.
14. **Compensation Competitiveness Ratio**
- **Definition:** The ratio of the company's average compensation to the market average for similar roles.
 - **Importance:** Ensures that the company offers competitive salaries to attract and retain talent.
15. **Health and Safety Incidents**
- **Definition:** The number of workplace accidents or safety incidents per a certain number of employees or hours worked.
 - **Importance:** A key indicator of workplace safety and the effectiveness of health and safety programs.
16. **Employee Net Promoter Score (eNPS)**
- **Definition:** Measures the likelihood that employees would recommend the organization as a place to work, typically on a scale from -100 to 100.
 - **Importance:** A high eNPS indicates strong employee loyalty and satisfaction.
17. **Training ROI**
- **Definition:** The return on investment for training programs, calculated by comparing the benefits gained (e.g., increased productivity) to the cost of the training.
 - **Importance:** Ensures that training expenditures are yielding positive results for the organization.
18. **Grievance Resolution Rate**

- **Definition:** The percentage of employee grievances that are resolved within a specified timeframe.
- **Importance:** Reflects the effectiveness of HR in addressing and resolving employee concerns.

19. Average Tenure

- **Definition:** The average length of time employees stay with the organization.
- **Importance:** A longer average tenure can indicate higher job satisfaction and a positive work environment.

20. Leadership Development Rate

- **Definition:** The percentage of management roles filled by individuals who have participated in leadership development programs.
- **Importance:** Indicates the effectiveness of leadership training and the organization's ability to develop internal talent.

Selecting and Using HR KPIs

When selecting HR KPIs, it's essential to align them with the organization's strategic objectives. Regularly monitoring these KPIs allows HR leaders to identify areas of strength and opportunities for improvement, enabling more informed decision-making and contributing to the overall success of the organization.

4. 3 FINANCIAL FUNCTIONAL STRATEGY

Finance functional strategies in strategic management are plans and actions within the finance function that align with and support the broader strategic objectives of an organization. These strategies are designed to optimize financial performance, manage risks, and ensure that the company has the financial resources to achieve its long-term goals. The financial strategy of an organization involves the gathering and utilization of funds for the organization. It mainly focuses on the management of financial resources, the effective allocation of funds, and long-term financial sustainability.

For example, the financial strategy of Apple includes maintaining a strong cash position, investing in research and development, and making strategic acquisitions to ensure growth and innovation.

4.3.1 Key Components of Finance Functional Strategies

1. Capital Structure Management

- **Debt vs. Equity Financing:** Determining the optimal mix of debt and equity financing to minimize the cost of capital while maintaining financial flexibility. For example, a company might decide to issue bonds (debt) rather than issuing new equity shares to finance growth initiatives.
- **Leverage Management:** Managing the level of leverage to ensure it aligns with the company's risk tolerance and strategic objectives. Higher leverage can amplify returns but also increases financial risk.

2. Capital Budgeting

- **Investment Appraisal:** Evaluating potential investment projects using techniques like Net Present Value (NPV), Internal Rate of Return (IRR), and Payback Period to ensure that capital is allocated to projects that generate the most value.
- **Prioritization of Projects:** Prioritizing investment projects based on their strategic alignment with the company's goals, such as expansion, innovation, or sustainability.

3. Working Capital Management

- **Cash Flow Management:** Ensuring that the company has sufficient liquidity to meet its short-term obligations by managing cash flows effectively. This includes optimizing the timing of accounts receivable and accounts payable.
- **Inventory Management:** Balancing inventory levels to minimize holding costs while ensuring that production and sales are not disrupted.
- **Credit Management:** Establishing policies for extending credit to customers and managing collections to minimize bad debt and enhance cash flow.

4. Financial Risk Management

- **Hedging Strategies:** Using financial instruments like derivatives to hedge against risks related to interest rates, foreign exchange rates, and commodity prices.
- **Insurance:** Purchasing insurance policies to protect against operational risks such as property damage, liability, or business interruption.
- **Risk Assessment and Mitigation:** Regularly assessing financial risks and implementing strategies to mitigate them, such as diversifying investments or implementing strict internal controls.

5. Cost Management

- **Cost Control:** Implementing measures to control costs across the organization, such as reducing overhead, improving operational efficiency, and renegotiating supplier contracts.
- **Activity-Based Costing:** Using activity-based costing (ABC) to allocate costs more accurately and identify areas where efficiency can be improved.
- **Lean Management:** Adopting lean management principles to eliminate waste and reduce costs in processes across the organization.

6. Financial Reporting and Compliance

- **Accurate and Timely Reporting:** Ensuring that financial reports are accurate, timely, and comply with relevant accounting standards and regulations, such as GAAP or IFRS.
- **Regulatory Compliance:** Maintaining compliance with all financial regulations, including tax laws, securities regulations, and corporate governance requirements.
- **Transparency and Disclosure:** Providing transparent financial disclosures to stakeholders, including investors, regulators, and employees.

7. Dividend Policy

- **Dividend Payout Ratio:** Determining the proportion of earnings to be distributed as dividends versus reinvested in the business. A high payout ratio might be attractive to income-focused investors, while a low payout ratio could indicate a focus on growth.
- **Share Repurchase Programs:** Implementing share buyback programs as an alternative way to return value to shareholders, potentially increasing earnings per share (EPS) and stock price.

8. Treasury Management

- **Cash Reserves:** Maintaining optimal cash reserves to manage short-term needs and take advantage of investment opportunities.
- **Foreign Exchange Management:** Managing foreign exchange risk, especially for multinational corporations, by using hedging strategies or diversifying currency exposure.
- **Banking Relationships:** Managing relationships with financial institutions to secure favorable terms on loans, lines of credit, and other financial services.

9. Mergers and Acquisitions (M&A) Strategy

- **Target Identification:** Identifying potential acquisition targets that align with the company's strategic goals, such as market expansion, diversification, or acquiring new technologies.
- **Valuation and Due Diligence:** Conducting thorough due diligence and accurate valuation of potential acquisition targets to ensure that the deal creates value for shareholders.
- **Integration Planning:** Developing detailed integration plans to ensure that the acquired company is smoothly integrated into the existing operations, maximizing synergies.

10. Investor Relations and Communication

- **Stakeholder Engagement:** Engaging with shareholders and other stakeholders through regular communication, including earnings calls, annual reports, and investor meetings.
- **Shareholder Value Maximization:** Focusing on strategies that maximize shareholder value, such as increasing profitability, growing dividends, or repurchasing shares.
- **Market Perception Management:** Managing the company's perception in the financial markets to ensure that its stock is accurately valued, which can include managing expectations through guidance and transparent reporting.

4.3.2 Integration with Business Strategy

Finance functional strategies must be closely aligned with the overall business strategy. For example, if the company is pursuing an aggressive growth strategy, the finance function may focus on securing sufficient capital and managing financial risks associated with rapid expansion. Conversely, if the company is focused on cost leadership, finance might prioritize cost management and efficiency improvements.

By aligning finance functional strategies with the broader strategic goals of the organization, companies can ensure that they have the financial resources, risk management practices, and operational efficiency needed to achieve sustainable growth and long-term success.

4.4 SUMMARY

Functional strategy refers to the specific actions and approaches that individual departments within an organization take to support the overall business strategy. Each function or department, such as marketing, finance, human resources, or operations, develops its own plan that aligns with and contributes to the broader organizational goals. Functional strategies are designed to be consistent with the company's overall business strategy. They ensure that all parts of the organization are working towards the same objectives. Each functional area focuses on its expertise. For example, the marketing department might focus on customer acquisition and brand positioning, while the operations department focuses on efficiency and quality control. Functional strategies involve deciding how to allocate resources (e.g., budget, personnel, technology) within each department to achieve strategic goals. Functional strategies require coordination between departments to ensure that activities are aligned and support each other. For instance, a new product launch might require close collaboration between the R&D, marketing, and production departments. Each function typically establishes its own metrics to measure success and track progress toward strategic objectives. These metrics should be aligned with the overall company performance indicators. Functional strategies need to be flexible to adapt to changes in the external environment, such as shifts in market demand, technological advancements, or competitive pressures. By focusing on specific tasks and roles, functional strategies help to streamline operations and improve efficiency within each department. They allow departments to leverage their specialized knowledge and skills, leading to better decision-making and innovation in their respective areas. Functional strategies are critical for implementing the overall business strategy, as they translate broad objectives into actionable plans at the departmental level.

In essence, functional strategy ensures that every part of an organization contributes effectively to achieving its strategic goals, driving the company towards its long-term objectives.

4.5 KEY WORDS

Here are some key words related to functional strategy in strategic management:

1. **Operational Efficiency:** The effectiveness with which an organization uses its resources to produce goods or services.
2. **Resource Allocation:** The distribution of resources (financial, human, technological) among various departments or functions to support strategic objectives.
3. **Product Development:** The process of designing, creating, and bringing new products or services to market, often involving R&D, engineering, and marketing.
4. **Quality Management:** Ensuring that products or services meet established quality standards, often through systems like Total Quality Management (TQM) or Six Sigma.
5. **Supply Chain Management:** The planning and control of the flow of goods, services, and information from suppliers to customers.

6. **Marketing Mix:** A set of actions (often referred to as the 4 Ps: Product, Price, Place, Promotion) that are strategically adjusted to promote and sell products or services effectively.
7. **Customer Relationship Management (CRM):** Strategies and systems used to manage interactions with current and potential customers, aimed at improving customer satisfaction and loyalty.
8. **Cost Control:** Techniques and measures used to manage and reduce expenses within specific functional areas, aligning with broader cost leadership strategies.
9. **Process Improvement:** Identifying and implementing changes to processes within a function to increase efficiency, reduce waste, or enhance productivity.
10. **Sales Strategy:** The plan and approach for generating revenue, including decisions about sales channels, pricing, customer segments, and sales force management.
11. **Inventory Management:** The process of ordering, storing, and using a company's inventory. Effective inventory management balances inventory levels with demand to minimize costs.
12. **Information Systems Strategy:** A plan to leverage technology and information systems to support business processes, increase efficiencies, and gain competitive advantage.
13. **Innovation Management:** Processes and activities to foster creativity and innovation in products, services, or operations, keeping the company competitive and relevant.
14. **Benchmarking:** Comparing internal processes and performance metrics with those of leading competitors or industry standards to identify improvement areas.
15. **Compliance and Risk Management:** Ensuring that functional areas comply with legal and regulatory standards and proactively managing risks that could impact functional or business performance.

4.6 QUESTIONS

1. How does a functional strategy align with the overall business strategy?
2. What role does resource allocation play in the development of functional strategies?
3. How do different functional strategies (e.g., marketing, finance, operations) integrate to support the organization's strategic objectives?
4. What are the key challenges in coordinating functional strategies across various departments?
5. How can performance metrics be effectively developed and used to track the success of functional strategies?

4.7 FURTHER READINGS

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UNIT 5 STRATEGY IMPLEMENTATION AND STRATEGY EVALUATION

The objectives of this unit are to enable you:

OBJECTIVES:

After completion of this lesson the student will be able to understand:

- Explain the nature of market and its interaction with other corporate functions.
- Review the changing role of a manager and his/her position in the strategy implementation.
- Discuss agency problems arising from the relationship between customer and organization.
- Illustrate the organization of the strategic function.
- Focus on functional strategy principle.

STRUCTURES:

5.1 INTER RELATIONSHIP BETWEEN STRATEGY FORMULATION AND IMPLEMENTATION

5.1.1 Strategy Formulation and Implementation in Strategic Management

5.1.2 Challenges in Strategy Formulation and Implementation

5.2 ISSUES IN STRATEGY IMPLEMENTATION

5.3 STRATEGY EVALUATION

5.3.1 Key Components of Strategy Evaluation

5.3.2 The Strategy Evaluation Process

5.3.3 Importance of Strategy Evaluation

5.3.4 Overview of Strategic Evaluation

5.3.5 Purpose of Strategic Evaluation

5.3.6 Challenges in Strategic Evaluation

5.4 STRATEGIC CONTROL

5.4.1 Purpose of Strategic Control

5.4.2 Types of Strategic Control

5.4.3 Process of Strategic Control

5.4.4 Challenges in Strategic Control

5.4.5 Importance of Strategic Control

5.4.6 Techniques of Strategic Evaluation and Control

5.5 SUMMARY

5.6 KEY WORDS

5.7 QUESTIONS

5.8 FURTHER READINGS

5.1 INTER RELATIONSHIP BETWEEN STRATEGY FORMULATION AND IMPLEMENTATION

The relationship between strategy formulation and implementation is a critical aspect of strategic management, where both phases are deeply interconnected and equally important for achieving organizational success. Here's an exploration of their interrelationship:

1. Strategic Alignment

- **Formulation:** This phase involves setting the organization's direction by defining goals, analysing internal and external environments, and developing strategic plans.
- **Implementation:** Once a strategy is formulated, implementation involves putting those plans into action. The alignment between what is planned (formulation) and what is done (implementation) is crucial for achieving desired outcomes. If the two are not aligned, even a well-formulated strategy can fail.

2. Feedback Loop

- **Formulation:** Strategic formulation includes assumptions about market conditions, resources, and competition. These assumptions guide the creation of the strategy.
- **Implementation:** As the strategy is implemented, real-world conditions provide feedback that may validate or challenge the initial assumptions. This feedback often requires adjustments to the strategy, leading to a re-formulation or fine-tuning of the original plan.

3. Resource Allocation

- **Formulation:** In the formulation phase, decisions are made about how resources will be allocated to different strategic initiatives.
- **Implementation:** During implementation, these resources are deployed as planned. However, the actual implementation may reveal that adjustments in resource allocation are necessary, influencing the original strategy and requiring dynamic adjustments.

4. Organizational Structure and Culture

- **Formulation:** The strategic plan developed during formulation must consider the organization's structure and culture to be practical and achievable.
- **Implementation:** As the strategy is implemented, the organization's structure and culture play a significant role in its success. If the organizational structure is not conducive to the strategy, it might need to be adjusted, influencing the overall strategy.

5. Communication and Leadership

- **Formulation:** Effective strategy formulation requires clear communication of the vision and strategic objectives to all stakeholders.
- **Implementation:** For successful implementation, leadership must continuously communicate the strategy, ensure understanding across the organization, and motivate

employees. The way the strategy is communicated during formulation directly impacts the ease and effectiveness of its implementation.

6. Flexibility and Adaptability

- **Formulation:** The strategy must be flexible enough to allow adjustments based on changes in the environment during implementation.
- **Implementation:** The need for flexibility is often realized during implementation when unforeseen challenges or opportunities arise, requiring changes to the original strategy.

7. Role of Leadership

- **Formulation:** Leadership is critical in crafting a strategic vision and ensuring it is realistic and aligned with organizational capabilities.
- **Implementation:** Leaders play a pivotal role in driving the strategy forward, making decisions on-the-fly, and ensuring that the organization remains committed to the strategic goals.

8. Success Measurement

- **Formulation:** The formulation phase includes defining success criteria and key performance indicators (KPIs) that will be used to measure the success of the strategy.
- **Implementation:** During implementation, these KPIs are monitored to evaluate progress. If results are not meeting expectations, it may necessitate revisiting and revising the strategy.

5.1.1 Strategy Formulation and Implementation in Strategic Management

In strategic management, **strategy formulation** and **strategy implementation** are two critical phases that together determine the success of an organization's strategic objectives. They represent the "thinking" and "doing" aspects of strategy, respectively, and are closely interrelated.

1. Strategy Formulation

Strategy formulation is the process of deciding what to do. It involves a series of analytical steps that help an organization define its direction and make decisions on how to allocate its resources to achieve its long-term goals.

Key Components of Strategy Formulation:

- **Vision and Mission Statements:** The foundation of strategy formulation starts with clearly defining the organization's vision (long-term aspirations) and mission (purpose and primary objectives).
- **Environmental Scanning:** This involves analyzing the external environment (opportunities and threats) and internal environment (strengths and weaknesses) through tools like SWOT analysis, PESTEL analysis, and Porter's Five Forces.

- **Setting Objectives:** Once the environment is understood, specific, measurable, achievable, relevant, and time-bound (SMART) objectives are set to guide the organization toward its vision.
- **Strategic Choice:** This is the decision-making phase, where leaders select from different strategic options. This may include deciding on a growth strategy (e.g., market penetration, diversification), competitive strategy (e.g., cost leadership, differentiation), or corporate strategy (e.g., mergers and acquisitions, partnerships).

2. Strategy Implementation

Strategy implementation is the process of executing the formulated strategy. It involves translating strategic plans into actionable steps and ensuring that the organization moves in the direction defined during the formulation phase.

Key Components of Strategy Implementation:

- **Resource Allocation:** Resources such as finances, personnel, and technology are allocated based on the strategic plan. Effective resource allocation ensures that each department or function has what it needs to execute its part of the strategy.
- **Organizational Structure:** The organization's structure may need to be adjusted to support the strategy. This could involve changes in reporting lines, creation of new departments, or reassigning roles.
- **Leadership and Communication:** Strong leadership is crucial to motivate and guide employees in implementing the strategy. Clear communication ensures that everyone understands the strategic goals and their role in achieving them.
- **Operational Planning:** This involves developing detailed plans and schedules for executing the strategy, including setting milestones and deadlines.
- **Change Management:** Implementation often requires change within the organization. Effective change management practices help minimize resistance and ensure a smooth transition.
- **Monitoring and Control:** Regular monitoring of progress against key performance indicators (KPIs) and other metrics is essential. This allows for adjustments to be made in response to challenges or changes in the external environment.

3. The Interrelationship between Formulation and Implementation

The success of a strategy is dependent on the seamless integration of formulation and implementation. While formulation sets the strategic direction, implementation brings it to life. A well-formulated strategy can fail if not properly implemented, and conversely, poor formulation can render even the best implementation efforts ineffective. Both phases are cyclical, with implementation providing feedback that can lead to re-formulation or adjustment of the strategy.

5.1.2 Challenges in Strategy Formulation and Implementation

- **Misalignment:** There can be a gap between what is planned and what is executed, leading to strategic misalignment.
- **Resistance to Change:** Employees and managers may resist changes that come with new strategies, which can hinder implementation.

- **Resource Constraints:** Limited resources can make it difficult to fully implement a strategy.
- **Communication Barriers:** Poor communication can result in misunderstandings and lack of clarity about strategic goals.
- **Environmental Changes:** Unforeseen changes in the external environment can render a formulated strategy less effective, requiring rapid adjustments.

The relationship between strategy formulation and implementation is dynamic and cyclical rather than linear. Effective strategic management requires continuous interaction between the two, with on-going feedback, adjustments, and refinements to ensure that the strategy is not only well-conceived but also effectively executed. The success of a strategy ultimately depends on how well these two phases are integrated and managed. In strategic management, both strategy formulation and implementation are indispensable. Successful organizations excel at not only crafting well-thought-out strategies but also at executing them effectively. The continuous interaction between these phases, with constant feedback and adjustments, is key to sustaining competitive advantage and achieving long-term success.

5.2 ISSUES IN STRATEGY IMPLEMENTATION

Strategy implementation is a critical phase in strategic management, where plans and strategies are put into action. Despite the importance of this phase, many organizations face significant challenges that can derail even the most well-formulated strategies. Below are some common issues in strategy implementation:

1. Poor Communication

- **Issue:** Lack of clear and effective communication can lead to misunderstandings about the strategy, its goals, and individual roles. When employees do not fully understand the strategy or how it applies to their work, implementation efforts can falter.
- **Impact:** Misalignment between departments, confusion, and inconsistency in execution.

2. Inadequate Leadership

- **Issue:** Effective strategy implementation requires strong leadership to guide the process, motivate employees, and ensure that the organization stays on track. Inadequate leadership can result in a lack of direction and enthusiasm for the strategy.
- **Impact:** Low employee morale, lack of commitment, and poor execution of strategic initiatives.

3. Resource Allocation Issues

- **Issue:** Strategies often require resources such as funding, personnel, and technology. Poor allocation or insufficient resources can hinder the ability to execute the strategy as planned.

- **Impact:** Delayed implementation, incomplete initiatives, and failure to achieve strategic goals.

4. Organizational Resistance to Change

- **Issue:** Employees and managers may resist changes that come with new strategies due to fear of the unknown, discomfort with new processes, or perceived threats to job security.
- **Impact:** Delays in implementation, reduced effectiveness of new initiatives, and potential failure of the strategy.

5. Lack of Alignment Between Strategy and Organizational Structure

- **Issue:** If the organization's structure does not align with the strategy, it can create obstacles in the implementation process. For example, if decision-making authority is too centralized or if the structure does not support cross-functional collaboration, the strategy may not be effectively executed.
- **Impact:** Bottlenecks, inefficiencies, and conflicts between departments.

6. Inadequate Monitoring and Control

- **Issue:** Strategy implementation requires continuous monitoring and control to track progress and make necessary adjustments. Without adequate monitoring systems in place, it is difficult to assess whether the strategy is on track or if corrective actions are needed.
- **Impact:** Missed deadlines, failure to meet objectives, and inability to respond to challenges or opportunities.

7. Cultural Misalignment

- **Issue:** The existing organizational culture may not support the new strategy, especially if the strategy involves significant changes in how things are done. A mismatch between the strategy and the organizational culture can lead to resistance and poor implementation.
- **Impact:** Lack of buy-in from employees, conflicts, and reduced effectiveness of strategic initiatives.

8. Overly Ambitious or Unclear Goals

- **Issue:** Strategies that set overly ambitious or unclear goals can be difficult to implement. When goals are unrealistic or not well-defined, employees may struggle to understand what is expected of them and how to achieve these goals.
- **Impact:** Frustration among employees, loss of focus, and failure to achieve strategic objectives.

9. Lack of Employee Involvement

- **Issue:** Employees who are not involved in the strategy formulation process may feel disconnected from the strategy and less committed to its implementation. Without

their input and buy-in, it can be challenging to get everyone on board with the new direction.

- **Impact:** Low engagement, poor execution, and potential sabotage of the strategy.

10. External Environmental Changes

- **Issue:** Unforeseen changes in the external environment, such as economic downturns, technological advancements, or competitive pressures, can impact the feasibility of a strategy. If the strategy does not account for these changes, it may become obsolete or ineffective during implementation.
- **Impact:** Need for rapid adjustments, potential strategy failure, and missed opportunities.

11. Inflexibility

- **Issue:** Rigid adherence to the original strategic plan, even when circumstances change, can lead to ineffective implementation. Strategies need to be adaptable to respond to unexpected challenges or opportunities.
- **Impact:** Missed opportunities, inability to respond to threats, and overall strategic failure.

Successful strategy implementation requires careful planning, effective communication, strong leadership, and flexibility. Addressing these common issues proactively can help organizations overcome barriers to implementation, ensuring that their strategies are not only well-formulated but also effectively executed, leading to the achievement of their strategic goals

5.3 STRATEGY EVALUATION

Strategy evaluation is a crucial phase in the strategic management process that ensures the chosen strategy is effectively leading the organization toward its goals. It involves assessing the strategy's performance, identifying areas for improvement, and making necessary adjustments. The strategy evaluation process is essential for maintaining strategic alignment and responding to internal and external changes.

5.3.1 Key Components of Strategy Evaluation

1. Establishing Performance Standards

- **Description:** The first step in strategy evaluation involves setting clear performance standards or benchmarks. These standards are often derived from the organization's strategic objectives and may include financial metrics (e.g., ROI, revenue growth), market metrics (e.g., market share), or operational metrics (e.g., production efficiency).
- **Purpose:** These standards serve as the criteria against which the strategy's effectiveness is measured.

2. Measuring Actual Performance

- **Description:** Once performance standards are established, the next step is to measure the actual performance of the strategy against these benchmarks. This involves collecting data on key performance indicators (KPIs) that reflect the outcomes of the implemented strategy.
- **Purpose:** Accurate measurement is critical to understanding how well the strategy is performing and identifying any deviations from expected outcomes.
- 3. **Comparing Performance with Standards**
 - **Description:** After measuring performance, the results are compared with the predefined standards. This comparison helps identify gaps between the desired and actual outcomes, revealing whether the strategy is on track, overperforming, or underperforming.
 - **Purpose:** The comparison provides insights into areas where the strategy is succeeding or failing, highlighting the need for potential adjustments.
- 4. **Analyzing Deviations**
 - **Description:** If significant deviations are identified between actual performance and the established standards, it is essential to analyze the underlying causes. This analysis may involve examining external factors (e.g., market conditions, competition) or internal factors (e.g., resource allocation, operational efficiency).
 - **Purpose:** Understanding the root causes of deviations helps in determining whether the strategy itself needs modification or if the implementation process requires improvement.
- 5. **Taking Corrective Actions**
 - **Description:** Based on the analysis, corrective actions may be necessary to address any identified issues. These actions could involve adjusting the strategy, reallocating resources, changing operational processes, or revisiting the strategic goals.
 - **Purpose:** Corrective actions are crucial for realigning the strategy with the organization's objectives and ensuring that it continues to deliver the desired outcomes.

5.3.2 The Strategy Evaluation Process

The strategy evaluation process is cyclical and ongoing, ensuring continuous alignment between the strategy and the organization's goals.

1. **Continuous Monitoring:**
 - The strategy evaluation process is not a one-time event but requires ongoing monitoring of the strategy's performance. This continuous process allows organizations to respond quickly to changes and maintain strategic alignment.
2. **Feedback Loop:**
 - Evaluation provides a feedback loop that informs future strategy formulation and implementation. The insights gained from the evaluation process can lead to modifications in the strategy or its execution, improving overall strategic management.
3. **Flexibility and Adaptation:**
 - The evaluation process must be flexible, allowing for adaptations in response to internal or external changes. This might involve adjusting goals, changing tactics, or even rethinking the entire strategy if necessary.
4. **Involvement of Key Stakeholders:**

- Effective strategy evaluation involves the participation of key stakeholders, including executives, managers, and employees. Their insights and feedback are valuable for identifying issues and implementing corrective actions.

5.3.3 Importance of Strategy Evaluation

- **Ensures Strategic Alignment:** Regular evaluation ensures that the organization remains on track to achieve its strategic goals and can make necessary adjustments when deviations occur.
- **Enhances Organizational Performance:** By identifying areas for improvement, strategy evaluation helps in optimizing performance and resource utilization.
- **Facilitates Continuous Improvement:** The evaluation process supports a culture of continuous improvement, enabling organizations to refine their strategies over time.
- **Mitigates Risks:** Early identification of potential issues through evaluation allows organizations to take proactive measures, reducing the risk of strategic failure.
- **Ensures Relevance:** By continuously evaluating the strategy, organizations can ensure that it remains relevant in a changing environment.
- **Supports Decision-Making:** Evaluation provides valuable data and insights that support informed decision-making at all levels of the organization.
- **Enhances Accountability:** Regular evaluation enhances accountability by holding departments and individuals responsible for achieving strategic objectives.
- **Promotes Continuous Improvement:** The feedback generated from the evaluation process fosters a culture of continuous improvement, leading to better strategic outcomes over time.

5.3.4 Overview of Strategic Evaluation

Strategic evaluation is a critical phase in the strategic management process that involves assessing the effectiveness of a strategy in achieving the organization's objectives. This phase ensures that the strategy remains relevant, effective, and aligned with the organization's goals. It provides feedback that can lead to strategy refinement, ensuring long-term success and adaptability in a dynamic environment.

5.3.5 Purpose of Strategic Evaluation

1. **Assessing Performance:** The primary purpose of strategic evaluation is to assess the actual performance of a strategy against the desired outcomes. This involves measuring whether the strategic objectives are being met and determining if the strategy is effectively driving the organization towards its goals.
2. **Identifying Gaps:** Evaluation helps in identifying any gaps or deviations between the planned strategy and actual outcomes. These gaps might be due to external factors (like changes in the market) or internal factors (like resource constraints).
3. **Ensuring Strategic Alignment:** Strategic evaluation ensures that all parts of the organization are aligned with the overall strategy, helping to maintain focus and coherence across departments and functions.
4. **Providing Feedback:** The evaluation process generates feedback that can be used to refine and adjust the strategy. This feedback loop is essential for continuous improvement and long-term success.

5.3.6 Challenges in Strategic Evaluation

- **Complexity:** Evaluating complex strategies across large organizations can be challenging due to the many variables involved.
- **Measurement Difficulties:** Some strategic objectives, such as improving brand reputation or employee morale, are difficult to quantify and measure accurately.
- **Resistance to Change:** The evaluation process may reveal the need for significant changes, which can be met with resistance from employees or management.
- **Time and Resources:** Conducting a thorough evaluation requires time and resources, which can be a constraint for some organizations.

Strategic evaluation is a vital aspect of strategic management, enabling organizations to assess the effectiveness of their strategies and make necessary adjustments. By setting clear performance standards, measuring actual performance, and taking corrective actions, organizations can ensure that their strategies lead to the achievement of their long-term goals. The ongoing, cyclical nature of the evaluation process ensures that strategies remain aligned with the organization's mission and responsive to changes in the external environment.

Strategy evaluation is a vital component of strategic management that ensures strategies remain effective and aligned with organizational goals. Through a systematic process of establishing standards, measuring performance, analyzing deviations, and taking corrective actions, organizations can continuously improve their strategic initiatives and maintain a competitive edge in their industry. The ongoing nature of strategy evaluation allows for flexibility and responsiveness, which are essential in today's dynamic business environment.

5.4 STRATEGIC CONTROL

Strategic control is a key component of strategic management, focusing on monitoring and evaluating the implementation of a strategy to ensure that organizational goals are being achieved. It involves tracking the progress of strategic initiatives, assessing performance, and making adjustments as necessary to stay on course. Strategic control helps organizations maintain alignment between their strategy and the dynamic environment in which they operate.

5.4.1 Purpose of Strategic Control

1. **Ensuring Alignment:** Strategic control ensures that the organization's strategic activities are aligned with its long-term goals and objectives.
2. **Monitoring Performance:** It tracks the performance of various strategic initiatives to ensure they are delivering the expected results.
3. **Adapting to Change:** Strategic control allows organizations to respond effectively to changes in the external environment, such as market shifts, technological advancements, or competitive pressures.
4. **Maintaining Strategic Focus:** By continuously monitoring and adjusting strategy, strategic control helps maintain focus on key priorities and prevents drift from the organization's mission.

5.4.2 Types of Strategic Control

1. **Premise Control**

- **Description:** Premise control involves monitoring the underlying assumptions or premises upon which the strategy was formulated. These assumptions might relate to factors like market trends, competitive behavior, or technological changes.
- **Purpose:** It ensures that the assumptions remain valid over time. If they change, the strategy may need to be revised to reflect the new reality.

2. **Implementation Control**

- **Description:** This type of control focuses on monitoring the progress of strategy implementation. It involves checking whether the strategic initiatives are being carried out as planned and whether milestones are being met.
- **Purpose:** It ensures that the implementation is on track and identifies any issues that may require intervention or corrective action.

3. **Strategic Surveillance**

- **Description:** Strategic surveillance involves the continuous and broad-based monitoring of various sources of information that may affect the strategy. It includes scanning the external environment for emerging trends, potential threats, and new opportunities.
- **Purpose:** This control helps organizations detect changes that could impact the strategy, enabling proactive adjustments.

4. **Special Alert Control**

- **Description:** Special alert control is triggered by sudden, unexpected events that may have a significant impact on the organization or its strategy. These could include crises like natural disasters, economic downturns, or major regulatory changes.
- **Purpose:** It enables organizations to respond quickly to unforeseen events, reassessing the strategy and making necessary adjustments to navigate the crisis.

5.4.3 Process of Strategic Control

1. **Setting Performance Standards**

- The first step in strategic control is to establish clear performance standards based on the strategic goals. These standards serve as benchmarks for evaluating the effectiveness of strategic initiatives.

2. **Measuring Actual Performance**

- The organization then measures actual performance against these standards. This involves collecting data on key performance indicators (KPIs) and other relevant metrics to assess how well the strategy is being implemented.

3. **Comparing Performance with Standards**

- The next step is to compare the actual performance with the predefined standards. This comparison highlights areas where the strategy is performing well and areas where there are deviations.

4. **Analyzing Deviations**

- If there are significant deviations from the expected performance, it is important to analyze the causes. This analysis might involve examining internal factors like resource allocation or external factors like market conditions.

5. **Taking Corrective Action**

- Based on the analysis, corrective actions are taken to address any issues. This could involve making adjustments to the strategy, reallocating resources, or changing the implementation approach.

5.4.4 Challenges in Strategic Control

1. **Dynamic Environment:** The external environment is constantly changing, making it difficult to keep strategies aligned with evolving conditions.
2. **Complexity of Measurement:** Measuring the effectiveness of strategic initiatives can be complex, especially when dealing with qualitative factors like customer satisfaction or brand reputation.
3. **Resistance to Change:** Employees and managers may resist changes to the strategy or its implementation, especially if they are accustomed to the existing processes.
4. **Time and Resource Constraints:** Implementing strategic control requires time, effort, and resources, which can be limited in some organizations.
5. **Overemphasis on Short-Term Results:** Focusing too much on short-term performance metrics can lead to a neglect of long-term strategic goals.

5.4.5 Importance of Strategic Control

- **Ensures Strategic Success:** By continuously monitoring and adjusting strategies, strategic control helps ensure that the organization stays on track to achieve its goals.
- **Enhances Adaptability:** It enables organizations to adapt to changes in the environment, ensuring that strategies remain relevant and effective.
- **Promotes Accountability:** Strategic control holds individuals and teams accountable for their role in implementing the strategy, leading to better performance and outcomes.
- **Facilitates Continuous Improvement:** The feedback generated through strategic control supports a culture of continuous improvement, leading to ongoing refinement of strategies.

5.4.6 Techniques of Strategic Evaluation and Control

Strategic evaluation and control techniques are essential tools for assessing the effectiveness of a strategy and ensuring that organizational goals are achieved. These techniques help monitor performance, identify deviations from strategic goals, and make necessary adjustments. Here are several key techniques used in strategic evaluation and control:

1. Key Performance Indicators (KPIs)

- **Description:** KPIs are specific, quantifiable metrics used to evaluate the success of strategic initiatives. They provide a clear measure of progress towards strategic goals.
- **Examples:** Financial metrics (e.g., return on investment, profit margins), operational metrics (e.g., production efficiency), and customer metrics (e.g., customer satisfaction scores).
- **Purpose:** To track performance and assess whether strategic objectives are being met.

2. Balanced Scorecard

- **Description:** The Balanced Scorecard is a strategic management tool that provides a comprehensive view of organizational performance by evaluating four key perspectives: financial, customer, internal processes, and learning and growth.
- **Components:**
 - **Financial Perspective:** Measures financial performance (e.g., revenue growth, profitability).
 - **Customer Perspective:** Assesses customer satisfaction and market share.
 - **Internal Processes:** Evaluates the efficiency and effectiveness of internal processes.
 - **Learning and Growth:** Focuses on employee development and organizational culture.
- **Purpose:** To align business activities with strategic goals and provide a balanced view of performance.

3. Benchmarking

- **Description:** Benchmarking involves comparing an organization's performance metrics with those of leading competitors or industry standards.
- **Types:**
 - **Internal Benchmarking:** Comparing performance within different departments or units of the same organization.
 - **Competitive Benchmarking:** Comparing performance with direct competitors.
 - **Functional Benchmarking:** Comparing performance in specific functions (e.g., customer service) with industry leaders.
- **Purpose:** To identify best practices, set performance standards, and uncover areas for improvement.

4. SWOT Analysis (Strengths, Weaknesses, Opportunities, Threats)

- **Description:** SWOT Analysis is a strategic planning tool used to evaluate internal strengths and weaknesses, as well as external opportunities and threats.
- **Components:**
 - **Strengths:** Internal capabilities that provide an advantage.
 - **Weaknesses:** Internal limitations that may hinder performance.
 - **Opportunities:** External factors that could be leveraged for growth.
 - **Threats:** External challenges that could impact performance.
- **Purpose:** To assess the current strategic position and inform necessary adjustments.

5. PESTEL Analysis (Political, Economic, Social, Technological, Environmental, Legal)

- **Description:** PESTEL Analysis examines external macro-environmental factors that could impact an organization's strategy.
- **Components:**
 - **Political:** Government policies and political stability.
 - **Economic:** Economic conditions and trends.
 - **Social:** Societal attitudes and demographics.
 - **Technological:** Technological advancements and innovations.
 - **Environmental:** Environmental and ecological factors.
 - **Legal:** Legal and regulatory requirements.

- **Purpose:** To understand external factors that may influence strategy and to adapt accordingly.

6. Financial Ratio Analysis

- **Description:** Financial ratio analysis involves evaluating financial performance through ratios derived from financial statements.
- ****Types:**
 - **Profitability Ratios:** Measure financial performance (e.g., return on assets, return on equity).
 - **Liquidity Ratios:** Assess the ability to meet short-term obligations (e.g., current ratio, quick ratio).
 - **Solvency Ratios:** Evaluate long-term financial stability (e.g., debt-to-equity ratio).
 - **Efficiency Ratios:** Analyze operational efficiency (e.g., inventory turnover, receivables turnover).
- **Purpose:** To assess financial health and performance against strategic goals.

7. Management by Objectives (MBO)

- **Description:** Management by Objectives is a process where managers and employees set specific, measurable goals collaboratively and track progress towards achieving these goals.
- **Components:**
 - **Goal Setting:** Establishing clear, achievable objectives.
 - **Performance Measurement:** Regularly reviewing progress towards goals.
 - **Feedback and Adjustment:** Providing feedback and making adjustments as needed.
- **Purpose:** To ensure that individual performance aligns with strategic objectives and improve overall performance.

8. Strategic Control Charts

- **Description:** Strategic control charts are visual tools used to monitor and track performance metrics over time.
- **Types:**
 - **Control Charts:** Track variability in processes to ensure they stay within acceptable limits.
 - **Dashboards:** Provide a real-time visual representation of key performance metrics.
- **Purpose:** To visually monitor performance trends and detect deviations from strategic goals.

9. Scenario Planning

- **Description:** Scenario planning involves developing and analyzing different potential future scenarios to prepare for uncertainties and changes.
- **Components:**
 - **Scenario Development:** Creating detailed scenarios based on different assumptions.

- **Impact Analysis:** Assessing the potential impact of each scenario on the strategy.
- **Contingency Planning:** Developing strategies to address various scenarios.
- **Purpose:** To enhance preparedness and adaptability to changing conditions.

10. Strategy Review Meetings

- **Description:** Regular strategy review meetings involve discussions among key stakeholders to assess progress, review performance, and make necessary adjustments.
- **Components:**
 - **Progress Updates:** Reviewing performance against objectives.
 - **Issue Identification:** Identifying any problems or deviations.
 - **Adjustment Planning:** Developing plans for corrective actions.
- **Purpose:** To ensure continuous alignment and address issues promptly.

Effective strategic evaluation and control are essential for maintaining alignment between strategy and organizational goals. By using these techniques, organizations can monitor performance, identify areas for improvement, and make informed decisions to adjust their strategies as needed. These tools help ensure that strategic initiatives are successful, adaptive, and capable of achieving long-term success in a dynamic business environment. Strategic control is an essential aspect of strategic management, providing the mechanisms to monitor, evaluate, and adjust strategies in real time. It ensures that organizations remain aligned with their goals, adapt to changing environments, and continuously improve their strategic initiatives. By implementing effective strategic control systems, organizations can enhance their chances of long-term success and maintain a competitive edge in their industry.

5.5 SUMMARY

Strategy Implementation involves putting a formulated strategy into action by aligning resources, structures, and processes to achieve the organization's objectives. It requires translating strategic plans into operational tasks, setting clear goals, allocating resources effectively, and ensuring that employees understand their roles in executing the strategy. Successful implementation depends on effective leadership, clear communication, employee engagement, and a supportive organizational culture that aligns with the strategic goals.

Strategy Evaluation is the process of assessing the effectiveness of the implemented strategy in achieving the desired outcomes. It involves monitoring performance, comparing actual results with planned objectives, and making adjustments as needed. Key techniques in strategy evaluation include Key Performance Indicators (KPIs), Balanced Scorecards, financial analysis, and benchmarking. Regular evaluation allows organizations to identify deviations from the plan, understand the reasons behind them, and take corrective actions to ensure that the strategy remains relevant and effective.

Together, strategy implementation and evaluation are critical for ensuring that an organization stays on course to achieve its long-term goals, adapts to changing environments, and continuously improves its strategic approach.

5.6 KEY WORDS

Here are some key words associated with **Strategy Implementation** and **Strategy Evaluation**:

Strategy Implementation

1. **Action Plans:** Detailed plans that outline specific steps, timelines, and resources needed to execute strategic initiatives.
2. **Organizational Structure:** The setup of an organization's hierarchy and roles to facilitate strategy execution, such as functional, divisional, or matrix structures.
3. **Resource Allocation:** Distributing resources (financial, human, technological) across departments and activities to support strategic goals.
4. **Change Management:** Processes and techniques used to manage organizational change effectively, ensuring that employees adopt new strategies.
5. **Leadership Alignment:** Ensuring that leaders across all levels understand and support the strategy to drive cohesive implementation.
6. **Corporate Culture:** The values, norms, and behaviors that shape an organization's environment, which can either support or hinder strategy execution.
7. **Operational Alignment:** Adjusting day-to-day operations to align with strategic objectives, ensuring that all activities contribute to strategic goals.
8. **Performance Incentives:** Reward structures and systems designed to motivate employees to work toward achieving strategic objectives.
9. **Project Management:** The planning, executing, and monitoring of projects to ensure they align with strategic goals, often using methodologies like Agile or Lean.
10. **Communication Strategy:** Effective communication to ensure that all stakeholders understand the strategy and their roles in executing it.

Strategy Evaluation

1. **Strategic Audit:** A comprehensive evaluation of a company's internal and external factors, assessing the relevance and effectiveness of the strategy.
2. **Performance Metrics:** Quantitative and qualitative criteria (such as KPIs) used to measure the effectiveness of the strategy against goals.
3. **Balanced Scorecard:** A performance measurement framework that includes financial, customer, internal process, and learning & growth perspectives.
4. **Variance Analysis:** Comparing actual performance to budgeted or forecasted performance to identify deviations and root causes.
5. **Feedback Loops:** Processes for gathering feedback from internal and external stakeholders to identify improvements for future strategy.
6. **Corrective Actions:** Adjustments made to the strategy or its implementation when performance falls short of objectives.
7. **Strategic Control:** Mechanisms that allow for monitoring and adjusting strategies to ensure they remain aligned with changing conditions.
8. **Gap Analysis:** Analyzing the difference between actual performance and strategic goals to determine where improvements are needed.
9. **Return on Investment (ROI):** A financial measure used to evaluate the profitability and efficiency of investments made as part of the strategy.

10. **Environmental Scanning:** Monitoring external factors, such as market trends or economic changes, to determine if they impact strategic relevance.

5.7 QUESTIONS

1. How do we translate our strategic plan into actionable tasks?
2. What resources are required to effectively implement the strategy?
3. Who is responsible for each aspect of the strategy's implementation?
4. How can we align our organizational structure with the strategy?
5. How will we measure the success of our strategy?
6. What Key Performance Indicators (KPIs) will be used to monitor progress?
7. How frequently will we review the performance against strategic goals?
8. What tools or frameworks (e.g., Balanced Scorecard) will we use for evaluation?
9. How do we identify and analyse deviations from the strategic plan?
10. How do we incorporate feedback from evaluation into the on-going strategy?

5.8 FURTHER READINGS

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